CONSTRUCTION LOAN AGREEMENT

(Construction-to-Mini-Permanent Facility)

THE PIEDMONT AT BRIGHTLEAF

601 and 615 Foster Street, Durham, Durham County, North Carolina 27701

Parcel IDs 0821-04-72-3341 and 0821-04-72-4102

BETWEEN

PINNACLE SAVINGS BANK, N.A., as Lender

HARBORVIEW CAPITAL PARTNERS LLC, as Borrower

AND

ELENA VASQUEZ-TORRES and **REGINALD K. OSEI**, as Guarantors

DRAFT — FOR DISCUSSION PURPOSES ONLY

Loan No. CRE-2025-0342

Dated as of [February 28], 2025

Prepared by Ashford, Cromdale Consulting & Laine LLP, counsel to Pinnacle Savings Bank, N.A. This draft has not been reviewed or approved by the Lender's Senior Loan Committee, is subject to the satisfaction of all conditions precedent set forth in Article III, and is subject in all respects to the comments of the Borrower and its counsel and to the internal credit approval described in the Credit Memorandum dated January 22, 2025.

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ARTICLE I — DEFINITIONS AND INTERPRETATION

Section 1.1 — Defined Terms. Capitalized terms used in this Agreement have the meanings set forth in this Article I or elsewhere in this Agreement. The following terms have the following meanings:

"Advance" means each disbursement of the Loan proceeds by the Lender under Article IV, including the initial Advance made on the Closing Date.

"Affiliate" means, as to any Person, any other Person that directly or indirectly controls, is controlled by, or is under common control with such Person. For purposes of this definition, "control" means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through the ownership of voting securities, by contract, or otherwise. Without limitation, Brightleaf Investors Group LLC and Brightleaf Mezzanine Capital LLC are each an Affiliate of the other and of Thomas R. Chen.

"Agreement" means this Construction Loan Agreement, as amended, restated, supplemented, or otherwise modified from time to time.

"Applicable Rate" means, (a) at all times during the Construction Period, the sum of Daily Simple SOFR plus three and twenty-five hundredths percent (3.25%) per annum, and (b) at all times during the Mini-Perm Period (including any Extension Period), the sum of Daily Simple SOFR plus three and fifty-hundredths percent (3.50%) per annum, in each case subject to the SOFR Floor and computed in accordance with Section 2.8.

"Approved Budget" means the Project budget set forth on **Exhibit C**, as approved by the Lender in writing, together with the line-item detail delivered under Section 3.13, as the same may be revised only in accordance with Section 4.11.

"Approved Draw Schedule" means the draw schedule set forth on **Exhibit D**.

"Approved Plans and Specifications" means the final plans, specifications, drawings, and schedules for the Project prepared by the Architect, as approved by the Lender and, where required, by the Association and the City of Durham, together with all Change Orders approved under Section 4.11.

"Architect" means Meridian Design Collective PC, a North Carolina professional corporation, and its permitted successors and assigns.

"Assignment of Rents" means the Assignment of Rents and Leases of even date herewith from the Borrower to the Lender, as amended from time to time.

"Association" means Brightleaf Historic District Association, Inc., a North Carolina nonprofit corporation.

“Bankruptcy Event” means, with respect to any Person, (a) the commencement by such Person of any case, proceeding, or other action under any Debtor Relief Law; (b) the commencement against such Person of any case, proceeding, or other action of the kind referred to in clause (a) that remains undismissed for sixty (60) days; (c) the appointment of a receiver, trustee, custodian, or similar official for such Person or a substantial part of its property, or such Person’s consent thereto; (d) an admission in writing by such Person of its inability to pay its debts generally as they become due; or (e) any assignment for the benefit of creditors or any other marshalling of assets.

“Business Day” means any day other than a Saturday, a Sunday, or a day on which commercial banks in Charlotte, North Carolina are authorized or required by law to be closed, and that is also a day on which the Federal Reserve Bank of New York is open (or, if the applicable rate is a successor rate, a day determined in accordance with the applicable Benchmark Replacement).

“Carry Guaranty” means the Guaranty of Carrying Costs of even date herewith executed by each Guarantor in favor of the Lender.

“Cash Management Agreement” means the Cash Management Agreement of even date herewith among the Borrower, the Lender, and the Deposit Bank, together with any related deposit account control agreements.

“Change Order” means any change, addition, deletion, or modification to the Approved Plans and Specifications, the Construction Contract, or the scope of the Work, whether or not resulting in an adjustment to the GMP.

“Closing” and **“Closing Date”** mean the date on which the initial Advance is made under this Agreement.

“Code” means the Internal Revenue Code of 1986, as amended.

“Collateral” has the meaning given in Section 9.1.

“Commitment” means the obligation of the Lender to make Advances in an aggregate principal amount not exceeding Forty-Seven Million Five Hundred Thousand and No/100 Dollars ($47,500,000), as such amount may be reduced under Section 2.11, Section 4.12, or Section 3.9.

“Completion Guaranty” means the Completion Guaranty of even date herewith executed by each Guarantor in favor of the Lender.

“Compliance Certificate” means a certificate substantially in the form of **Exhibit F**, executed by a Responsible Officer.

“Construction Consultant” means the independent third-party construction inspection firm engaged by the Lender under Section 4.3.

“Construction Contract” means the Guaranteed Maximum Price contract dated [_____], 2024 between the Borrower, as owner, and the General Contractor, as contractor, in the original GMP amount of Thirty-Four Million Seven Hundred Fifty Thousand and No/100 Dollars ($34,750,000), as assigned to the Lender under Section 9.4 and as amended only in accordance with Section 4.11.

“Construction Maturity Date” means August 28, 2027.

“Construction Period” means the period commencing on the Closing Date and ending on the earlier of (a) the Construction Maturity Date and (b) the date on which the Mini-Perm Period commences under Section 2.13.

“Contingency Reserve” means the account established and maintained under Section 4.10.

“Credit Memorandum” means the Senior Loan Committee Credit Memorandum for Loan No. CRE-2025-0342 dated January 22, 2025.

“Daily Simple SOFR” means, for any day, the rate per annum equal to SOFR published by the Federal Reserve Bank of New York (or a successor administrator selected by the Lender in its reasonable discretion) for such day. If by 5:00 p.m. (New York City time) on any Business Day SOFR for such Business Day has not been published, SOFR for such day shall be SOFR for the first preceding Business Day for which SOFR was published, provided that such preceding Business Day is not more than three (3) Business Days prior to such day. Daily Simple SOFR shall be determined by the Lender, and the Lender’s determination shall be conclusive absent manifest error.

“Debt Service Coverage Ratio” or **“DSCR”** means, for any period, the ratio of (a) Net Operating Income for such period to (b) the aggregate amount of Interest Expense that would accrue during such period on the outstanding principal balance of the Loan at the then-applicable Applicable Rate (determined on an interest-only basis and without regard to any principal amortization).

“Debt Service Reserve” has the meaning given in Section 8.3(c).

“Debtor Relief Law” means the United States Bankruptcy Code (11 U.S.C. § 101 et seq.) and any other applicable federal, state, or foreign law relating to bankruptcy, insolvency, reorganization, receivership, winding-up, or relief of debtors.

“Default Rate” means a rate per annum equal to the Applicable Rate plus five percent (5.00%), computed in accordance with Section 2.7.

“Deed of Trust” means the Deed of Trust, Assignment of Rents, Security Agreement and Fixture Filing of even date herewith from the Borrower, as grantor, to the Trustee, for the benefit of the Lender, encumbering the Property, as amended, restated, or supplemented from time to time.

“Deposit Bank” means Pinnacle Savings Bank, N.A. or such other depository institution as the Lender may approve in writing.

“Dollar” and **“$”** mean the lawful currency of the United States of America.

“Draw Request” means a request for an Advance substantially in the form of **Exhibit H**, together with the supporting documentation required by Section 4.2.

“Eligible Assignee” means any bank, savings association, insurance company, pension fund, or other financial institution, or any Affiliate of any of the foregoing.

“Environmental Claim” means any claim, demand, action, suit, proceeding, order, directive, notice of violation, or lien arising under or relating to any Environmental Law or to Hazardous Materials, including any claim for contribution, cost recovery, natural resource damages, personal injury, property damage, or remediation costs.

“Environmental Indemnity” means the Environmental Indemnity Agreement of even date herewith executed by the Borrower and each Guarantor in favor of the Lender, unlimited in amount.

“Environmental Laws” means all federal, state, and local laws, statutes, regulations, ordinances, orders, and common law relating to pollution, the protection of human health or the environment, or Hazardous Materials, including CERCLA (42 U.S.C. § 9601 et seq.), the Resource Conservation and Recovery Act (42 U.S.C. § 6901 et seq.), the Clean Water Act, the Clean Air Act, the Toxic Substances Control Act, 40 C.F.R. Part 312, and the North Carolina statutes and regulations administered by NCDEQ, including the Inactive Hazardous Sites Response Act (N.C.G.S. Chapter 130A, Article 9) and the Oil Pollution and Hazardous Substances Control Act (N.C.G.S. Chapter 143, Article 21A).

“Equity Escrow Account” means the account established under Section 3.9 and Section 4.9.

“Event of Default” has the meaning given in Article XI.

“Excluded Taxes” means taxes imposed on the Lender’s net income or franchise taxes imposed by the jurisdiction in which the Lender is organized or maintains its principal office.

“Extension Fee” means a fee equal to one quarter of one percent (0.25%) of the then-outstanding principal balance of the Loan, payable under Section 2.12.

“Extension Period” means the six (6)-month period described in Section 2.12.

“Facility Maturity Date” means the Mini-Perm Maturity Date, as the same may be extended to the Extended Maturity Date under Section 2.12.

“Fiscal Year” means the calendar year of the Borrower.

“GAAP” means generally accepted accounting principles in the United States, consistently applied.

“General Contractor” means Graystone Construction Group Inc., a North Carolina corporation (N.C. General Contractor License No. 78442), and its permitted successors and assigns.

“GMP” means the Guaranteed Maximum Price of Thirty-Four Million Seven Hundred Fifty Thousand and No/100 Dollars ($34,750,000) under the Construction Contract.

“Governmental Authority” means any federal, state, county, municipal, or other governmental or quasi-governmental authority, agency, or instrumentality having jurisdiction, including the City of Durham, Durham County, NCDEQ, and the OCC.

“Guarantor” means each of Elena Vasquez-Torres and Reginald K. Osei, and “Guarantors” means both of them, jointly and severally, together with any additional guarantor that becomes party to a Guaranty with the Lender’s written consent.

“Guaranty” means any of the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty, and the Environmental Indemnity, and “Guaranties” means all of them.

“Hazardous Materials” means petroleum, petroleum products, petroleum hydrocarbons (including TPH-DRO and BTEX constituents), asbestos, polychlorinated biphenyls, radon, urea formaldehyde, per- and polyfluoroalkyl substances, and any other substance, material, or waste regulated as hazardous, toxic, or a pollutant under any Environmental Law.

“Indebtedness” means, as to any Person, all obligations for borrowed money, all obligations evidenced by notes or bonds, all capitalized lease obligations, all reimbursement obligations for letters of credit, all guarantees of the foregoing, and all other obligations that would be classified as indebtedness under GAAP.

“Interest Expense” means, for any period, the aggregate interest expense of the Borrower in respect of the Loan for such period, determined in accordance with GAAP (and, for any forward-looking period, computed on a pro forma basis at the Applicable Rate).

“Interest Reserve” means the amount of Four Million Eight Hundred Fifty Thousand and No/100 Dollars ($4,850,000) funded from the Loan proceeds at Closing under Section 4.7.

“Interest Reserve Account” means the segregated sub-account of the Loan maintained by the Lender under Section 4.7.

“Intercreditor Agreement” means the Intercreditor and Subordination Agreement among the Lender, the Mezzanine Lender, and the Borrower, in form and substance satisfactory to the Lender, to be executed and delivered at Closing.

“Land Use Restriction” means the Declaration of Land Use Restrictions to be recorded in the Durham County Registry of Deeds under condition 4 of the NFA Letter, restricting the Restricted Area to non-residential use.

“Leases” means all present and future leases, subleases, licenses, concessions, and occupancy agreements of any portion of the Property, together with all guarantees and security therefor.

“Lender” means Pinnacle Savings Bank, N.A., a nationally chartered savings bank, and its successors and assigns, including any Eligible Assignee.

“Loan” means the construction-to-mini-permanent loan made by the Lender to the Borrower under this Agreement in the maximum principal amount of the Commitment.

“Loan Documents” means this Agreement, the Note, the Deed of Trust, the Assignment of Rents, the Security Agreement, the UCC-1 financing statements, the Collateral Assignments, the Pledge Agreements, the Pledge Account Control Agreements, the Cash Management Agreement, the Guaranties, the Intercreditor Agreement, the Non-Consolidation Opinion, the Interest Rate Cap Agreement (if any), and each other instrument, certificate, or agreement now or hereafter executed by the Borrower or any Guarantor in favor of or delivered to the Lender in connection with the Loan.

“Loan-to-Cost Ratio” or **“LTC”** means, as of any date of determination, the ratio (expressed as a percentage) of (a) the aggregate principal amount of the Loan advanced and outstanding as of such date (plus, if the Commitment has not been fully advanced, the aggregate amount available to be advanced under the Approved Budget) to (b) Total Project Costs.

“Loan-to-Value Ratio” or **“LTV”** means, as of any date of determination, the ratio (expressed as a percentage) of the then-outstanding principal balance of the Loan to the then-current Appraised Value of the Property on the applicable valuation basis.

“Material Adverse Effect” means a material adverse effect on (a) the business, operations, Property, or financial condition of the Borrower or any Guarantor, (b) the ability of the Borrower or any Guarantor to perform its obligations under the Loan Documents, (c) the validity, enforceability, perfection, or priority of any Loan Document or any lien or security interest granted to the Lender, or (d) the value, marketability, or use of the Property or the Project.

“Maturity Date” means the Facility Maturity Date.

“Mezzanine Documents” means the loan agreement, note, pledge agreement, and other documents evidencing or securing the Mezzanine Loan.

“Mezzanine Lender” means Brightleaf Mezzanine Capital LLC, a North Carolina limited liability company (N.C. Secretary of State File No. 2103988), and its successors and assigns.

“Mezzanine Loan” means the subordinated loan in the original principal amount of Nine Million Two Hundred Thousand and No/100 Dollars ($9,200,000) made by the Mezzanine Lender to the Borrower, bearing interest at 12.50% per annum fixed, maturing coterminously with the Facility Maturity Date, and secured by a pledge of one hundred percent (100%) of the Membership Interests that is subordinate to the Lender’s Pledge under the Intercreditor Agreement.

“Mini-Perm Maturity Date” means August 28, 2028.

“Mini-Perm Period” means the period commencing on the date on which the Construction Period ends and ending on the Facility Maturity Date.

“Membership Interests” means one hundred percent (100%) of the membership interests in the Borrower, whether now owned or hereafter acquired, together with all economic and governance rights, options, and proceeds thereof, held by Elena Vasquez-Torres (62%), Brightleaf Investors Group LLC (28%), and Reginald K. Osei (10%).

“Net Operating Income” or **“NOI”** means, for any period, the gross revenues of the Property for such period less operating expenses of the Property for such period (including real property taxes, insurance, utilities, repairs and maintenance, management fees, Association assessments, and a replacement reserve of not less than $250 per residential unit per annum), in each case determined in accordance with GAAP consistently applied and in a manner consistent with the Appraisal, and without deduction for depreciation, amortization, income taxes, or Interest Expense.

“NFA Letter” means the No Further Action determination letter dated September 30, 2024 issued by NCDEQ, Inactive Hazardous Sites Branch, for Site ID IHSB-24-1203 / Incident No. NONUST-24-0847, together with all conditions, restrictions, and requirements thereof.

“Non-Consolidation Opinion” means the opinion of Borrower’s counsel addressed to the Lender that, subject to customary assumptions and qualifications, a court applying North Carolina law would not substantively consolidate the Borrower with any member, Affiliate, or other related entity.

“Note” means the promissory note of even date herewith in the original principal amount of the Commitment, executed by the Borrower in favor of the Lender.

“OCC” means the Office of the Comptroller of the Currency.

“Operating Agreement” means the Amended and Restated Operating Agreement of the Borrower dated as of March 14, 2019, as amended through December 1, 2024, as further amended, restated, or supplemented to satisfy Section 3.10 and Article XIV.

“Partial Repayment Guaranty” means the Guaranty of Partial Repayment of even date herewith executed by each Guarantor in favor of the Lender in the maximum aggregate amount of Eleven Million Eight Hundred Seventy-Five Thousand and No/100 Dollars ($11,875,000), being twenty-five percent (25%) of the Commitment, which obligation is joint and several.

“Permitted Exceptions” means the matters listed on **Exhibit E** and no others.

“Person” means any individual, corporation, limited liability company, partnership, joint venture, trust, unincorporated association, Governmental Authority, or other entity.

“Phase I ESA” means the Phase I Environmental Site Assessment dated October 28, 2024 prepared by Sentinel Environmental Consulting LLC (Sentinel Project No. SEC-2024-1147) for the Property, prepared in accordance with ASTM E1527-21 and 40 C.F.R. Part 312.

“Phase II ESA” means the Phase II Environmental Site Assessment dated August 30, 2024 prepared by Sentinel Environmental Consulting LLC (Sentinel Project No. SEC-2024-1089).

“Pledge Agreements” means the pledge and security agreements of even date herewith from each member of the Borrower granting the Lender a first-priority security interest in the Membership Interests, together with the Pledge Account Control Agreements.

“Pledge Account Control Agreements” means the control agreements, in form satisfactory to the Lender, perfecting the Lender’s security interest in the Membership Interests and any pledged accounts under N.C.G.S. Chapter 25, Articles 8 and 9.

“Project” means the development, construction, and operation of the mixed-use project on the Property described on **Exhibit B**.

“Project Costs” and **“Total Project Costs”** mean the aggregate of all costs and expenses incurred or to be incurred in connection with the acquisition, development, construction, and completion of the Project, as set forth in the Approved Budget, being Fifty-Six Million Seven Hundred Thousand and No/100 Dollars ($56,700,000) as of the Closing Date, plus any increase approved by the Lender in writing under Section 4.11 or Section 8.1.

“Property” means the real property described on **Exhibit A**, together with all improvements, fixtures, appurtenances, and personal property related thereto, and all interests of the Borrower therein.

“Provided Information” has the meaning given in Section 5.6(b).

“Remediation Work” means the residual petroleum contamination identified in the Phase I ESA as the sole REC, located within the Restricted Area.

“Responsible Officer” means the Managing Member of the Borrower or such other officer or manager as may be designated in writing by the Managing Member and reasonably acceptable to the Lender.

“Restricted Area” means the approximately 0.38-acre area in the northeast corner of Parcel 0821-04-72-4102 (615 Foster Street) delineated in the Phase II ESA and subject to the land use restriction in the NFA Letter.

“Retainage” means, with respect to each Advance for hard construction costs, ten percent (10%) of the amount of such work in place, withheld by the Lender under Section 4.5.

“SEC” means the Securities and Exchange Commission.

“Security Agreement” means the Security Agreement of even date herewith from the Borrower to the Lender.

“SOFR” means the Secured Overnight Financing Rate.

“SOFR Floor” means one percent (1.00%) per annum. If Daily Simple SOFR is less than 1.00% on any day, Daily Simple SOFR shall be deemed to be 1.00% for that day for purposes of determining the Applicable Rate.

“Soil Management Plan” means the soil management plan required by condition 3 of the NFA Letter, as approved by NCDEQ.

“Substantial Completion” means substantial completion of the Work within the meaning of the Construction Contract, evidenced by (a) the Architect’s certificate of substantial completion (AIA G704 or equivalent), (b) issuance of a certificate of occupancy (whether temporary or final) by the City of Durham for all residential units and retail bays, and (c) the Construction Consultant’s confirmation of substantial completion.

“Title Insurer” means Aldersgate Title & Escrow Inc.

“Title Policy” means the ALTA Loan Policy (06-17-06) of title insurance issued by the Title Insurer to the Lender in an amount not less than the Commitment, insuring the Deed of Trust as a valid first-priority lien on the fee simple interest in the Property subject only to the Permitted Exceptions, together with such endorsements as the Lender may require.

“Total Project Costs” has the meaning given in the definition of “Project Costs.”

“Transfer” means any sale, assignment, transfer, conveyance, pledge, hypothecation, encumbrance, or other disposition, whether voluntary or involuntary, direct or indirect, including any transfer resulting from a change in control of any member of the Borrower.

“UCC” means the Uniform Commercial Code as in effect in the State of North Carolina.

“Work” means the construction of the Project in accordance with the Approved Plans and Specifications, the Construction Contract, and the Approved Budget.

Section 1.2 — Interpretation. (a) The words “include,” “includes,” and “including” are deemed to be followed by “without limitation.” (b) “Hereof,” “herein,” “hereunder,” and similar terms refer to this Agreement as a whole. (c) References to Articles, Sections, and Exhibits are to Articles and Sections of, and Exhibits to, this Agreement. (d) The singular includes the plural and vice versa; any gender includes all genders. (e) References to any statute, regulation, or agreement include amendments, successors, and replacements. (f) Headings are for convenience only and do not affect interpretation. (g) “Writing,” “written,” and comparable terms refer to a writing that is printed, typewritten, or electronically transmitted and retrievable in perceivable form. (h) If any period expires on a day that is not a Business Day, the period expires on the next Business Day. (i) This Agreement has been negotiated by the parties with the assistance of counsel, and no rule of construction resolving ambiguities against the drafting party applies. (j) Any reference to the Lender’s “satisfaction,” “approval,” “consent,” or “determination” means such satisfaction, approval, consent, or determination in the Lender’s reasonable judgment unless this Agreement expressly provides for sole or absolute discretion, in which case the Lender’s sole and absolute discretion applies. (k) References to any amount “funded from Loan proceeds” mean that such amount is included in the Approved Budget and advanced under Article IV.

Section 1.3 — Accounting Terms and Determinations. All accounting terms not defined in this Agreement have the meanings given to them under GAAP. All financial statements, certificates, and compliance calculations required under this Agreement shall be prepared in accordance with GAAP consistently applied, except that the Borrower’s net worth shall be determined on a consolidated basis for the Borrower only (excluding the assets or liabilities of any member), and shall include as an asset the Borrower’s interest in the Property valued at the lower of cost or the most recent Appraised Value.

Section 1.4 — Interest Conventions. All determinations of Daily Simple SOFR, the Applicable Rate, the Default Rate, and interest payable under this Agreement shall be made by the Lender. The Lender shall not be required to notify the Borrower of any change in the Applicable Rate resulting from a change in Daily Simple SOFR, although the Lender shall provide the Borrower with monthly

invoice statements reflecting the rate applied. Each determination by the Lender is conclusive absent manifest error.

ARTICLE II — THE LOAN

Section 2.1 — The Commitment; the Loan. Subject to the terms and conditions of this Agreement, the Lender agrees to make the Loan to the Borrower in one or more Advances on and after the Closing Date, in an aggregate principal amount not to exceed the Commitment. The Loan is a multiple-advance facility. Amounts repaid or prepaid may not be reborrowed. The Borrower's obligation to repay the Loan is evidenced by the Note.

Section 2.2 — Purpose. The proceeds of the Loan shall be used solely to (a) fund the hard and soft costs of the Project in accordance with the Approved Budget and the Approved Draw Schedule, (b) fund the Interest Reserve, (c) pay the Origination Fee to the extent permitted by Section 2.10, and (d) pay such other Project costs as are expressly approved by the Lender in writing. No portion of the Loan proceeds may be used to pay any distribution to any member of the Borrower, to repay any Indebtedness of any member or Affiliate of the Borrower, or to reimburse any member for any capital contribution, except as expressly approved in writing by the Lender.

Section 2.3 — The Note. The Loan shall be evidenced by the Note, which shall be payable to the order of the Lender in the principal amount of the Commitment and shall bear interest as provided in this Agreement and the Note. In the event of any conflict between the Note and this Agreement as to the payment of interest or principal, this Agreement controls.

Section 2.4 — Condition of the Property; Lender Not a Builder. The Lender is not a party to the Construction Contract or the architect's agreement and has no obligation to supervise, inspect, or inform the Borrower of any aspect of the Work. Any inspection or review performed by the Lender or the Construction Consultant is for the sole benefit of the Lender and does not constitute a warranty or representation as to the adequacy, sufficiency, quality, or compliance of the Work, the Approved Plans and Specifications, or the Approved Budget, nor does it relieve the Borrower or the General Contractor of any obligation.

Section 2.5 — Interest Rate. (a) During the Construction Period, the outstanding principal balance of the Loan shall bear interest at the Applicable Rate for the Construction Period. (b) During the Mini-Perm Period (including any Extension Period), the outstanding principal balance of the Loan shall bear interest at the Applicable Rate for the Mini-Perm Period. (c) Interest shall be computed on the basis of actual days elapsed over a three hundred sixty (360)-day year, applied to the actual outstanding principal balance each day, in accordance with Section 2.8. (d) The Alternate Basis for determining interest — *inapplicable; the Loan bears interest on a Daily Simple SOFR basis from the Closing Date.*

Section 2.6 — SOFR Floor; Negative SOFR. Daily Simple SOFR shall at no time be less than the SOFR Floor of 1.00% per annum. If Daily Simple SOFR would otherwise be negative, Daily Simple SOFR shall be deemed to be the SOFR Floor. The SOFR Floor applies during both the Construction Period and the Mini-Perm Period and may not be adjusted except through a Benchmark Replacement.

Section 2.7 — Default Rate. Upon and during the continuance of an Event of Default, and at the Lender's election from the date of the Event of Default (and, with respect to any Event of Default under Section 11.5, automatically and without notice), all outstanding amounts under the Loan Documents shall bear interest at the Default Rate, being the Applicable Rate plus five percent (5.00%) per annum, and interest at the Default Rate shall be payable on demand and shall be secured by the Loan Documents.

Section 2.8 — Computation of Interest; Usury Savings. (a) Interest for each day shall equal the product of (i) the outstanding principal balance on that day, (ii) the Applicable Rate in effect for that day divided by three hundred sixty (360), and (iii) the number of days elapsed. (b) Notwithstanding anything to the contrary in any Loan Document, no provision of any Loan Document shall require the payment or permit the collection of interest in excess of the maximum rate permitted by applicable North Carolina law (the "Maximum Lawful Rate"). If any excess interest is provided for or received, (i) the excess shall be applied first to unpaid principal, then to other Obligations, and then refunded to the Borrower, and (ii) the effective rate of interest shall be automatically reduced to the Maximum Lawful Rate. To the extent permitted by applicable law, all interest at any time contracted for, charged, or received shall be amortized, prorated, allocated, and spread over the full period of the Loan.

Section 2.9 — Payments. (a) Accrued interest on the outstanding principal balance of the Loan shall be payable monthly in arrears on the first Business Day of each calendar month, commencing on the first Business Day of the first full calendar month following the Closing Date. (b) During the Construction Period, interest shall be paid from the Interest Reserve Account until the Interest Reserve is exhausted; thereafter, and during the Mini-Perm Period, interest shall be payable by the Borrower from its own funds (subject to Section 4.8 and the Carry Guaranty). (c) The outstanding principal balance of the Loan, together with all accrued and unpaid interest, fees, costs, and other Obligations, shall be due and payable in full on the Maturity Date. (d) All payments shall be made in immediately available funds to the account designated by the Lender, without setoff, counterclaim, deduction, or withholding, not later than 1:00 p.m. (Eastern Time) on the due date. (e) If any payment is not received within five (5) days after its due date, the Borrower shall pay a late charge equal to five percent (5.00%) of the overdue amount, in addition to interest at the Default Rate; such late charge shall not constitute a substitute for the Lender's other remedies and shall not cure any Event of Default.

Section 2.10 — Fees. (a) **Origination Fee.** The Borrower shall pay the Lender an origination fee of Four Hundred Seventy-Five Thousand and No/100 Dollars ($475,000), being one percent (1.00%) of the Commitment. The Origination Fee is fully earned on the Closing Date, is non-refundable, and may be funded from the Loan proceeds as reflected in the Approved Budget and Exhibit D. (b) **Exit Fee.** The Borrower shall pay the Lender, on the date of repayment in full of the Loan, an exit fee equal to (i) one-half of one percent (0.50%) of the outstanding principal balance if the Loan is repaid in full during the Construction Period, (ii) one-quarter of one percent (0.25%) of the outstanding principal balance if the Loan is repaid in full during the first six (6) months of the Mini-Perm Period, and (iii) zero if the Loan is repaid in full after the first six (6) months of the Mini-Perm Period. (c) **Unused Line Fee.** The Borrower shall pay the Lender a fee of one-quarter of one percent (0.25%) per annum on the average daily undrawn portion of the Commitment, payable quarterly in arrears, commencing with the first fiscal quarter ending after the Closing Date and continuing until the Commitment has been fully drawn or cancelled. (d) **Extension Fee.** Any Extension Fee shall be payable in accordance with Section 2.12. (e) **Fees Generally.** All fees are non-refundable when paid and, once paid, shall not be subject to reduction, setoff, or refund for any reason, including any prepayment or acceleration. Fees are in addition to, and not in lieu of, the Lender’s expenses under Section 13.3.

Section 2.11 — Prepayment. The Loan may be prepaid in whole or in part at any time upon not less than five (5) Business Days’ prior written notice to the Lender, subject to payment of accrued interest, the Exit Fee (if applicable), and any amounts owing under Section 13.3. No prepayment premium other than the Exit Fee applies. Amounts prepaid may not be reborrowed, and any partial prepayment shall not reduce the Commitment unless the Lender expressly agrees in writing. Partial prepayments shall be applied first to fees and costs, then to accrued interest, and then to principal, in inverse order of maturity.

Section 2.12 — Extension Option. (a) The Borrower may, at its option, extend the Mini-Perm Maturity Date by six (6) months to February 28, 2029 (the “Extended Maturity Date”), provided that each of the following conditions is satisfied as of the date of the Borrower’s election and as of the Mini-Perm Maturity Date: (i) no Event of Default or Default exists and no event has occurred that, with notice or lapse of time or both, would constitute an Event of Default under any Loan Document or the Intercreditor Agreement; (ii) Substantial Completion has occurred and a final certificate of occupancy has been issued by the City of Durham for all residential units and retail bays; (iii) not less than seventy-five percent (75%) of the residential units are leased to tenants under executed leases of not less than twelve (12) months and are physically occupied; (iv) the DSCR, calculated using annualized in-place Net Operating Income for the most recent three (3)-month period divided by annual Interest Expense on the outstanding principal balance at the then-applicable Applicable Rate, is not less than 1.15x; (v) the Borrower has paid the Extension Fee; (vi) the Borrower has delivered evidence of an Interest Rate Cap Agreement for the Extension Period, with a strike rate and

counterparty acceptable to the Lender (minimum long-term rating of A- from S&P or A3 from Moody's) and an aggregate notional amount not less than the outstanding principal balance; (vii) the Intercreditor Agreement remains in full force and effect and no default exists thereunder; (viii) the Lender has received an updated appraisal from an MAI-designated appraiser acceptable to the Lender confirming that the LTV based on the outstanding principal balance and the as-stabilized value does not exceed seventy percent (70%); (ix) all representations and warranties remain true and correct in all material respects; and (x) the Borrower has delivered written notice of its election to extend not less than sixty (60) days prior to the Mini-Perm Maturity Date. (b) The extension is not automatic, and time is of the essence. The Lender's acceptance of the Extension Fee shall not constitute a waiver of any unsatisfied condition. (c) The Extension Fee and the conditions in this Section 2.12 are Lender proposals not fixed by the executed Term Sheet; see Cover Memorandum Item M-20.

Section 2.13 — Maturity; Commencement of Mini-Perm Period. The outstanding principal balance of the Loan shall be due and payable in full on the Maturity Date. The Mini-Perm Period shall commence on the later of (a) the date of Substantial Completion and (b) the date on which the Construction Period would otherwise expire, and, in either case, only if no Event of Default then exists; provided, however, that the occurrence of the Mini-Perm Period shall not extend the Construction Maturity Date or the Mini-Perm Maturity Date.

Section 2.14 — Increased Costs; Taxes; Illegality; Inability to Determine Rate. (a) If any law, regulation, or directive (or any change in the interpretation thereof) after the Closing Date imposes on the Lender any cost or reserve requirement that increases the cost of making or maintaining the Loan, the Borrower shall pay the Lender such additional amounts as are necessary to compensate the Lender, upon presentation of a certificate detailing the calculation. (b) All payments shall be made free and clear of, and without deduction for, any taxes other than Excluded Taxes; if any deduction or withholding is required, the Borrower shall pay the amount necessary so that the Lender receives the amount it would have received absent the deduction, and shall furnish tax receipts. (c) If the Lender determines that (i) Daily Simple SOFR cannot be determined or is not available, (ii) any applicable law makes it unlawful for the Lender to make or maintain the Loan based on Daily Simple SOFR, or (iii) Daily Simple SOFR no longer adequately and fairly reflects the cost to the Lender of making or maintaining the Loan, then the Lender may suspend further Advances and shall implement a Benchmark Replacement in accordance with Section 2.15. (d) The Lender shall not be obligated to fund any Advance on any day on which Daily Simple SOFR is not published for the applicable Business Day.

Section 2.15 — Benchmark Replacement. (a) If the Lender determines that a public statement has been made by or on behalf of the administrator of SOFR or a regulatory supervisor announcing that SOFR is no longer representative or will no longer be provided, or that SOFR has otherwise become unavailable, the Lender

may select a successor benchmark rate that is recommended or endorsed by the Alternative Reference Rates Committee ("ARRC") or, if no such rate is available, a rate selected by the Lender in its reasonable discretion. (b) Any Benchmark Replacement shall include (i) spread adjustments consistent with ARRC recommended best practices, (ii) a term or daily convention consistent with the replacement rate, (iii) notice to the Borrower as soon as practicable, and (iv) such conforming changes to the Loan Documents as the Lender reasonably determines are necessary. (c) The Lender shall not be liable for any determination made in good faith under this Section 2.15, and any such determination shall be binding on the Borrower absent manifest error.

ARTICLE III — CONDITIONS PRECEDENT TO CLOSING

The Lender's obligation to make the initial Advance is subject to the prior satisfaction (or written waiver by the Lender, in its sole discretion) of each of the following conditions, each in form and substance satisfactory to the Lender and its counsel:

Section 3.1 — Loan Documents. The Borrower and each Guarantor shall have executed and delivered each of the Loan Documents, including this Agreement, the Note, the Deed of Trust, the Assignment of Rents, the Security Agreement, the UCC-1 financing statements, the Collateral Assignments, the Pledge Agreements, the Pledge Account Control Agreements, the Cash Management Agreement, the Completion Guaranty, the Carry Guaranty, the Partial Repayment Guaranty, the Environmental Indemnity, and the Intercreditor Agreement.

Section 3.2 — Organizational Documents; Authority. The Lender shall have received (a) a certificate of good standing for the Borrower issued by the North Carolina Secretary of State not more than thirty (30) days prior to the Closing Date; (b) certified copies of the Borrower's articles of organization and Operating Agreement, as amended in accordance with Section 3.10; (c) a certificate of the Borrower's managing member attaching resolutions or written consents of all members authorizing the Loan, the execution and delivery of the Loan Documents, the granting of the security interests, the Pledge Agreements, and the transactions contemplated hereby; (d) customary certificates of incumbency and signature; and (e) evidence that each pledge of Membership Interests has been duly authorized by the Managing Member and by members holding not less than seventy-five percent (75%) of the Membership Interests as required by Section 9.1 of the Operating Agreement.

Section 3.3 — Financial Statements and Certificates. The Lender shall have received (a) the Borrower's audited or reviewed financial statements for its two most recent Fiscal Years and interim statements for the most recent fiscal quarter; (b) a certificate of the Managing Member certifying that the Borrower's net worth is not less than Twelve Million Dollars ($12,000,000); (c) current personal financial statements for each Guarantor dated not earlier than December 15, 2024, together

with supporting documentation reasonably requested by the Lender; (d) federal income tax returns for the Borrower and each Guarantor for the two most recent taxable years; and (e) a certificate evidencing combined Guarantor liquidity of not less than Five Million Dollars ($5,000,000), with not less than One Million Five Hundred Thousand Dollars ($1,500,000) attributable to each Guarantor individually.

Section 3.4 — Title Insurance; Survey; Zoning. The Lender shall have received (a) the Title Policy (or a binding and unconditional commitment to issue the Title Policy at the Closing, together with an insured closing letter from the Title Insurer), in an amount not less than the Commitment, insuring the Deed of Trust as a valid first-priority lien on the Property subject only to the Permitted Exceptions, and containing no exception for the Triangle Commercial Bank deed of trust recorded in Book 6215, Page 892, Durham County Registry, and no exception for mechanic's or materialmen's liens arising from work performed prior to the Closing Date; (b) a current ALTA/NSPS Land Title Survey complying with the 2021 Minimum Standard Detail Requirements (including Table A items 1, 2, 3, 4, 6, 8, 9, 10, 11, 13, 14, 16, 17, 18, 19, 20, and 21 as specified by the Lender), certified to the Lender, the Title Insurer, and the Borrower, dated or re-certified within ninety (90) days of the Closing Date; (c) a zoning compliance letter from the City of Durham confirming that the Project is permitted as of right in the MU-D district; and (d) such endorsements as the Lender may require, including access, contiguity, survey, comprehensive, zoning 3.0, subdivision, location, usury, tie-in, and mechanic's lien coverage (or such other protection as the Lender may require, including an owner's affidavit, payment affidavits, and a title indemnity).

Section 3.5 — Appraisal. The Lender shall have received and reviewed the full self-contained appraisal report dated November 15, 2024 prepared by Ridgeline Appraisal Services Inc. (Linda M. Haverford, MAI; File No. RAS-2024-1147) concluding an as-is value of not less than $8,900,000, an as-completed value of not less than $72,800,000, and an as-stabilized value of not less than $76,200,000, which appraisal shall have been reviewed and approved by the Lender's appraisal review department in accordance with the requirements of Title XI of FIRREA and the applicable regulations of the OCC. The Lender may require an update of the appraisal or a new appraisal if the Closing Date occurs more than one hundred eighty (180) days after the date of value.

Section 3.6 — Environmental. The Lender shall have received, reviewed, and approved, each in form and substance satisfactory to the Lender: (a) the Phase I ESA, together with a reliance letter from Sentinel Environmental Consulting LLC naming the Lender as an intended reliance party; (b) the Phase II ESA; (c) the NFA Letter; (d) evidence that the Land Use Restriction has been recorded in the Durham County Registry of Deeds in accordance with condition 4 of the NFA Letter, or such other evidence of compliance as the Lender may accept; (e) evidence that the Soil Management Plan has been prepared and submitted to NCDEQ and, if required, approved; (f) evidence that the soil vapor mitigation

system required by condition 1 of the NFA Letter has been designed by a professional engineer licensed in North Carolina and is incorporated into the Approved Plans and Specifications and the Construction Contract; (g) resolution of the conflict between the non-residential use restriction applicable to the Restricted Area and the residential use proposed in the Project, in a manner described in Section 6.5(d); and (h) a Phase I update satisfying 40 C.F.R. § 312.20(c) if the Closing Date occurs after April 26, 2025.

Section 3.7 — Construction Contract; Architect; Consultant. The Lender shall have received (a) a true and complete copy of the fully executed Construction Contract, together with the General Contractor's consent to collateral assignment, evidence of the General Contractor's financial capacity and payment and performance bonding capacity (including a 100% performance and payment bond, or such other assurance as the Lender may require), and the General Contractor's schedule of values; (b) a true and complete copy of the fully executed architect's agreement with the Architect, together with the Architect's consent to collateral assignment and evidence of professional liability insurance of not less than $2,000,000; (c) the final Approved Plans and Specifications and all permits necessary to commence the Work; (d) the Approved Budget in line-item detail and the Approved Draw Schedule, each reconciled to this Agreement as contemplated by Section 8.1; and (e) the Construction Consultant's initial report confirming that the Approved Budget and the Approved Draw Schedule are sufficient to complete the Work and that the Project is feasible as designed.

Section 3.8 — Insurance. The Lender shall have received certificates of insurance and, where requested, certified copies of policies, evidencing each coverage required by Article VI and **Exhibit G**, naming the Lender as mortgagee, additional insured, and/or loss payee as its interests may appear, with such lender's loss payable and mortgagee endorsements as the Lender may require, and with not less than thirty (30) days' notice of cancellation (ten (10) days for non-payment of premium).

Section 3.9 — Loan-to-Cost Compliance; Equity. The Lender shall have received evidence that, immediately after giving effect to the initial Advance, the Loan-to-Cost Ratio does not exceed eighty percent (80.0%). Because the Loan-to-Cost Ratio computed on the Commitment of $47,500,000 and Total Project Costs of $56,700,000 equals 83.77%, this condition requires, on or before the Closing Date, either (a) a permanent reduction of the Commitment to Forty-Five Million Three Hundred Sixty Thousand and No/100 Dollars ($45,360,000) (the "Reduced Commitment"), together with a conforming restatement of the Note, the Approved Budget, and **Exhibit D**, or (b) a written determination by the Lender, supported by documentation approved by the Lender, that Total Project Costs have increased to not less than Fifty-Nine Million Three Hundred Seventy-Five Thousand and No/100 Dollars ($59,375,000), or (c) such combination of the foregoing as produces a Loan-to-Cost Ratio of not more than 80.0%. *A cash equity deposit alone does not satisfy this condition, because the Loan-to-Cost Ratio is a function of the principal*

amount of the Loan and Total Project Costs and is not reduced by the addition of a source of funds; see Cover Memorandum Item M-1. If the Commitment is reduced under this Section, the Lender shall nonetheless have received evidence that the Borrower has deposited not less than Two Million One Hundred Forty Thousand and No/100 Dollars ($2,140,000) into the Equity Escrow Account from sources other than the Mezzanine Loan, the Mezzanine Lender, Brightleaf Investors Group LLC, Thomas R. Chen, or any Affiliate of any of the foregoing, which deposit shall be disbursed under Section 4.9.

Section 3.10 — Single-Purpose Entity; Operating Agreement Amendments; Non-Consolidation Opinion. The Lender shall have received (a) evidence that the Operating Agreement has been amended to include the separateness covenants and the independent manager provisions required by Article XIV, and to revise Article III (Major Decisions) and Article IX (Transfer Restrictions) as required by Section 9.5(d) and Section 14.2; (b) a certificate of the Borrower confirming the appointment of an Independent Manager meeting the requirements of Section 14.2; and (c) the Non-Consolidation Opinion.

Section 3.11 — Mezzanine Loan; Intercreditor Agreement. The Lender shall have received (a) true and complete copies of the executed Mezzanine Documents, including the Mezzanine Lender's closing statement and full amortization schedule (including all payment-in-kind accruals); (b) the executed Intercreditor Agreement, which shall be in full force and effect and which shall provide, among other things, for the subordination of the Mezzanine Lender's pledge of the Membership Interests to the Lender's first-priority security interest, a standstill period of not less than ninety (90) days, cure rights and a purchase option in favor of the Mezzanine Lender, restrictions on amendments to the Mezzanine Documents without the Lender's consent, and bankruptcy-related restrictions; (c) evidence that the Mezzanine Lender has executed and delivered UCC-3 amendments subordinating any UCC-1 financing statement filed by it against the Borrower, and (d) UCC, tax lien, judgment, litigation, and bankruptcy searches confirming the Lender's first-priority position, subject only to the Permitted Exceptions.

Section 3.12 — Release of Prior Encumbrance. The Lender shall have received (a) a payoff letter from Triangle Commercial Bank (or its successor or assign) dated not more than thirty (30) days prior to the Closing Date, stating the outstanding principal balance, accrued interest, per diem, and all fees and charges required to obtain a full release of the deed of trust recorded in Book 6215, Page 892, Durham County Registry; (b) a recorded cancellation or certificate of satisfaction in recordable form executed in accordance with N.C.G.S. § 45-37, or a release to be recorded simultaneously with the Deed of Trust under an escrow arrangement satisfactory to the Title Insurer; (c) evidence that no guaranty, indemnity, or other obligation of the Borrower or any member survives the payoff and release; and (d) evidence that the payoff amount has been deposited with the Title Insurer for disbursement at the Closing from sources identified in Section 3.9 or otherwise approved by the Lender. *The Approved Budget and the Sources and*

Uses of Funds contain no line item for this payoff; see Cover Memorandum Item M-5.

Section 3.13 — Budget Detail; No Unfunded Items. The Lender shall have received a line-item budget reconciled to the Sources and Uses of Funds on **Exhibit C**, together with the Borrower's certification that (a) the Approved Budget includes all costs necessary to complete the Work and to satisfy the conditions of the NFA Letter, (b) no cost of the Project is unfunded, and (c) the sources of funds are sufficient, together with the Loan proceeds, to complete the Project. The Lender shall have received evidence reasonably satisfactory to it of the sources of the Borrower's equity, including a tracing of the funds used to acquire the Property.

Section 3.14 — Legal Opinions. The Lender shall have received opinions of Borrower's counsel (Calloway & Strauss PLLC) addressed to the Lender as to due organization, valid existence, due authorization, execution and delivery, enforceability of the Loan Documents, perfection and first priority of the Lender's security interests (including the pledge of Membership Interests and the enforceability of the Lender's remedies against the Membership Interests notwithstanding the transfer restrictions in Section 9.1 of the Operating Agreement), the non-consolidation opinion, and such other matters as the Lender may reasonably require.

Section 3.15 — CC&R and Architectural Review Approval. The Lender shall have received evidence that the Association's Architectural Review Committee has approved the Approved Plans and Specifications in accordance with Article V of the Declaration recorded in Book 6984, Page 1155, Durham County Registry (as amended in Book 7102, Page 388), or that the sixty (60)-day deemed-approval period has expired without written action by the Architectural Review Committee, and such estoppel, consent to the Deed of Trust, or subordination as the Lender may reasonably require.

Section 3.16 — Governmental Approvals. The Lender shall have received evidence that all building permits, grading permits, utility approvals, and other governmental approvals necessary to commence and complete the Work have been obtained or will be obtained prior to the commencement of the applicable phase of the Work, together with copies of all permits issued.

Section 3.17 — Fees and Expenses. The Borrower shall have paid the Origination Fee (to the extent not funded under Section 2.10(a)), all fees of the Lender's counsel, the Title Insurer's premiums and charges, the Construction Consultant's fees, and all other costs and expenses required to be paid by the Borrower at Closing under Section 13.3.

Section 3.18 — No Default; No Material Adverse Change. No Event of Default or Default shall exist, and no Material Adverse Effect shall have occurred, including any material adverse change in the financial condition of the Borrower or

either Guarantor, in general real estate market conditions, or in the availability of construction financing or permanent take-out financing for projects of the type of the Project.

Section 3.19 — Flood Determination. The Lender shall have received a current Standard Flood Hazard Determination confirming whether any portion of the Property is located in a Special Flood Hazard Area, and, if so, evidence of flood insurance in the amount required by the National Flood Insurance Act and the Lender's flood insurance policy.

Section 3.20 — Additional Conditions. The Lender shall have received such other documents, instruments, certificates, consents, and opinions as the Lender or its counsel may reasonably require, including (a) consents of all members of the Borrower to the Pledge Agreements and the Intercreditor Agreement, (b) the General Contractor's and Architect's consents to collateral assignment, (c) confirmation that no labor or materials have been furnished to the Property other than as disclosed in the Title Policy, together with lien waivers and paid receipts from the demolition contractor and the environmental remediation contractor, and (d) evidence of compliance with the USA PATRIOT Act and the Lender's customer due diligence requirements.

ARTICLE IV — ADVANCES, DISBURSEMENT AND RETAINAGE

Section 4.1 — Draw Requests. The Borrower may request an Advance not more frequently than once per calendar month by delivering a Draw Request to the Lender not less than fifteen (15) days prior to the requested funding date. Each Draw Request shall (a) specify the requested Advance amount, (b) identify the milestone or budget line items being funded and the percentage of completion of each, (c) be accompanied by the documentation required by Section 4.2, and (d) be certified by a Responsible Officer as true, correct, and complete. The Lender shall use commercially reasonable efforts to process a complete Draw Request within ten (10) Business Days after receipt; the Lender's failure to process a Draw Request within that period shall not constitute a waiver of any condition or a default by the Lender.

Section 4.2 — Supporting Documentation. Each Draw Request shall be accompanied by: (a) an AIA Application and Certificate for Payment (Form G702) and Continuation Sheet (Form G703) certified by the Architect and the General Contractor; (b) the Construction Consultant's report confirming achievement of the milestone and the percentage of completion; (c) an updated construction progress report and schedule prepared by the Borrower and the General Contractor, together with a change order log; (d) partial lien waivers in statutory form under N.C.G.S. Chapter 44A from the General Contractor, each subcontractor, and each materialman, for all work performed and materials supplied through the end of the prior draw period; (e) a date-down title endorsement from the Title Insurer confirming no intervening liens, encumbrances, or title defects since the prior

endorsement (and, for the initial Advance, since the effective date of the Title Policy); (f) evidence that all insurance required by Article VI remains in full force and effect; (g) an updated budget reconciliation demonstrating that the remaining Loan proceeds, equity, and Contingency Reserve are sufficient to complete the Work; (h) a certification that no Default or Event of Default exists and that all representations and warranties remain true and correct in all material respects; and (i) such other documentation as the Lender may reasonably require.

Section 4.3 — Inspections. The Lender may, at the Borrower's expense, cause the Construction Consultant to inspect the Property and the Work prior to each Advance and at such other times as the Lender may reasonably determine, and the Borrower shall make the Property and all construction records available for inspection during normal business hours upon reasonable notice. The Lender may also inspect the Property itself at any time during normal business hours upon reasonable notice.

Section 4.4 — Conditions Precedent to Each Advance. The Lender's obligation to make any Advance (including the initial Advance) is subject to satisfaction of each of the following as of the funding date: (a) all conditions in Article III remain satisfied; (b) no Default or Event of Default exists and no event has occurred that with notice or lapse of time or both would constitute an Event of Default; (c) all representations and warranties remain true and correct in all material respects; (d) the Borrower has delivered a complete Draw Request and the documentation required by Section 4.2; (e) the Construction Consultant has confirmed the milestone and that sufficient funds remain to complete the Work; (f) the Loan-to-Cost Ratio, the Loan-to-Value Ratios, the DSCR, and each other financial covenant in Article VIII are satisfied on a pro forma basis after giving effect to the Advance; (g) the interest reserve adequacy test in Section 4.8 has been satisfied; (h) the equity-first requirement in Section 4.9 has been satisfied; (i) the Borrower has complied with the Borrower's equity funding obligations, if any, and has funded all cost overruns required by Section 4.11; (j) the Intercreditor Agreement remains in full force and effect and no default exists thereunder; (k) the Borrower has complied with all conditions of the NFA Letter applicable as of the date of the Advance, including the restrictions on advances for construction within or above the Restricted Area set forth in Section 6.5(d); and (l) no Material Adverse Effect has occurred.

Section 4.5 — Retainage. The Lender shall withhold Retainage equal to ten percent (10%) of the amount of each Advance for hard construction costs. Retainage shall be held by the Lender (or, at the Lender's election, in the Contingency Reserve or a separate retainage escrow) and shall not bear interest for the account of the Borrower. Retainage shall be released only in accordance with Section 4.6. The aggregate Retainage shall equal ten percent (10%) of the GMP, being Three Million Four Hundred Seventy-Five Thousand and No/100 Dollars ($3,475,000), subject to reduction for Change Orders approved under Section 4.11.

Section 4.6 — Final Retainage Release. The Lender shall release the Retainage upon satisfaction of each of the following: (a) Substantial Completion and issuance of the final certificate of occupancy by the City of Durham for all residential units and retail bays; (b) delivery of final, unconditional lien waivers and affidavits from the General Contractor, each subcontractor, and each materialman in statutory form under N.C.G.S. Chapter 44A; (c) delivery of the Architect's certificate of final completion; (d) expiration of the one hundred twenty (120)-day lien filing period under N.C.G.S. Chapter 44A measured from the last furnishing of labor or materials, or delivery of a lien bond or title indemnity satisfactory to the Lender; (e) delivery of as-built drawings, all warranties, guaranties, and operating manuals, and evidence of the installation and performance verification of the soil vapor mitigation system required by the NFA Letter; and (f) confirmation that no mechanic's or materialmen's lien has been filed and that the Title Policy has been endorsed to remove any exception for pending disbursements. If the aggregate Retainage withheld differs from $3,475,000 as a result of Change Orders, the release shall be adjusted accordingly so that the full amount withheld is released.

Section 4.7 — Interest Reserve Account. At the Closing, the Lender shall fund the Interest Reserve of $4,850,000 from the Loan proceeds into the Interest Reserve Account, which shall be a segregated sub-account of the Loan. The Interest Reserve Account shall be applied solely to pay interest accruing on the Loan during the Construction Period. On the first Business Day of each calendar month during the Construction Period, the Lender shall apply funds in the Interest Reserve Account to the payment of accrued interest. The Interest Reserve Account is not a trust fund for the benefit of the Borrower, is not a deposit account of the Borrower, and does not reduce the outstanding principal balance of the Loan. Interest shall accrue on the Loan notwithstanding the insufficiency of the Interest Reserve, and the Borrower's obligation to pay interest is absolute.

Section 4.8 — Interest Reserve Adequacy Test; Replenishment. (a) At each Draw Request, and in any event not less frequently than quarterly, the Lender shall test the adequacy of the Interest Reserve by comparing the remaining balance of the Interest Reserve Account to the projected interest that will accrue on the Loan from the date of the test through the earlier of (i) the next anticipated draw date and (ii) ninety (90) days after the date of the test, in each case computed at the then-current Applicable Rate on the projected outstanding principal balance. (b) If the projected interest exceeds the remaining balance of the Interest Reserve Account, the Borrower shall deposit cash into the Interest Reserve Account in the amount of the deficiency before the requested Advance will be funded. (c) If at any time the Lender determines that the Interest Reserve is or will be insufficient to pay interest through the end of the Construction Period, the Lender shall notify the Borrower, and the Borrower shall deposit the deficiency into the Interest Reserve Account within five (5) Business Days after written notice. (d) All deposits under this Section 4.8 shall be made from the Borrower's own funds and not from the proceeds of the Loan or the Mezzanine Loan, and shall be evidenced by a certification of the source of funds. Failure to fund any deposit required under this

Section 4.8 within the applicable period shall constitute an Event of Default under Section 11.1. (e) The Borrower shall deliver to the Lender, within fifteen (15) days after the end of each calendar month during the Construction Period, a reconciliation of the Interest Reserve Account showing the opening balance, interest charged, deposits, disbursements, and closing balance, together with a projection of remaining interest through the Construction Maturity Date. (f) The Borrower acknowledges that the Interest Reserve has been modeled by the Borrower at an assumed SOFR of 3.50% and the assumption of a twelve-month divisor, whereas the Term Sheet and this Agreement require interest to be computed on actual days elapsed over a 360-day year, and that at prevailing SOFR levels the Interest Reserve is projected to be insufficient. The Borrower's obligations under this Section 4.8 are absolute and are supported by the Carry Guaranty.

Section 4.9 — Equity First; Equity Escrow Account. (a) The Borrower's equity, including the Equity Escrow Account, shall be fully invested in the Project before any Advance other than the initial Advance is made. (b) If the Lender requires an equity deposit under Section 3.9, the Lender shall establish the Equity Escrow Account, and the Borrower shall deposit $2,140,000 therein on or before the Closing Date from sources permitted under Section 3.9. Funds in the Equity Escrow Account shall be disbursed by the Lender to fund Project costs (other than those funded by the initial Advance) before any other source is drawn and shall be applied to hard costs and soft costs in the order determined by the Lender. (c) The Borrower shall deliver to the Lender, at Closing and upon each draw, a certification identifying the source of all equity funds and confirming that no equity funds are directly or indirectly derived from the Mezzanine Loan, the Mezzanine Lender, Brightleaf Investors Group LLC, Thomas R. Chen, or any Affiliate of any of the foregoing, together with bank records and wire confirmations evidencing the source. (d) The Borrower shall not permit any return of, or distribution in respect of, any member's capital contribution during the term of the Loan other than as expressly permitted by Section 7.6.

Section 4.10 — Contingency Reserve. The contingency line item in the Approved Budget in the amount of $1,440,000 (comprising $1,140,000 of hard cost contingency and $300,000 of soft cost contingency) shall be funded into the Contingency Reserve at the time provided in **Exhibit D** and shall be disbursed only for Change Orders or cost overruns approved by the Lender in writing. The Borrower shall deliver a change order log with each Draw Request. Upon Substantial Completion, any remaining balance in the Contingency Reserve shall be applied to prepay the outstanding principal balance of the Loan in accordance with Section 2.11 (without payment of any prepayment premium or Exit Fee).

Section 4.11 — Change Orders; Cost Overruns. (a) No Change Order may be implemented without the Lender's prior written consent, which the Lender may grant or withhold in its reasonable judgment, and any Change Order (i) that would cause the aggregate amount of all Change Orders to exceed five percent (5%) of

the GMP, (ii) that would reduce the scope, quality, or quantity of the Work, (iii) that would extend the construction schedule beyond the Construction Maturity Date, or (iv) that affects any structural, life-safety, envelope, or environmental component of the Work (including the soil vapor mitigation system) requires the Lender's prior written consent in its sole discretion. (b) No Change Order shall increase the GMP unless the Borrower has first deposited into the Contingency Reserve, or otherwise funded from sources other than the Loan and the Mezzanine Loan, the full amount of the increase. (c) All cost overruns shall be funded by the Borrower from equity contributions, Guarantor contributions, or other sources approved by the Lender, and not from Loan proceeds. (d) The Borrower shall deliver to the Lender a certified copy of each executed Change Order within five (5) Business Days after execution, together with the Architect's and Construction Consultant's written evaluation.

Section 4.12 — No Obligation to Advance; Cancellation. The Lender shall have no obligation to make any Advance if any condition in this Article IV or Article III has not been satisfied, and no Advance shall constitute a waiver of any condition applicable to a subsequent Advance. If the Borrower fails to satisfy any condition to an Advance for a period of thirty (30) consecutive days after written notice, or if the Work is suspended for a period of thirty (30) consecutive days (other than as a result of a Lender-caused delay), the Lender may, in its sole discretion, cancel the undrawn portion of the Commitment. Any cancellation shall not reduce the Borrower's obligations with respect to amounts already advanced.

Section 4.13 — Disbursement to Third Parties; No Third-Party Rights. The Lender may, at its election, disburse Loan proceeds directly to the General Contractor, the Architect, any subcontractor or materialman, the Title Insurer, or any other Person entitled to payment, and any such disbursement shall satisfy the Lender's obligation to advance the corresponding amount to the Borrower. No such Person shall be a third-party beneficiary of this Agreement or have any right to compel any Advance.

Section 4.14 — Construction Schedule; Delay. The Borrower shall cause the Work to be performed in accordance with the construction schedule approved by the Lender, which shall provide for Substantial Completion on or before August 31, 2027. If at any time the Construction Consultant determines that the Work is more than ninety (90) days behind the approved construction schedule, an Event of Default shall exist under Section 11.7 without further notice or cure.

ARTICLE V — REPRESENTATIONS AND WARRANTIES

The Borrower and each Guarantor (as to itself) represent and warrant to the Lender as of the Closing Date and as of the date of each Advance that:

Section 5.1 — Organization; Power; Good Standing. The Borrower is a limited liability company duly organized, validly existing, and in good standing under the laws of the State of North Carolina (N.C. Secretary of State File No. 1923847) and

has full power and authority to own the Property, conduct its business, enter into the Loan Documents, and perform its obligations thereunder. Each Guarantor is a natural person of full legal age and capacity, is solvent, and is not subject to any pending bankruptcy or insolvency proceeding.

Section 5.2 — Authorization; Enforceability. The execution, delivery, and performance of the Loan Documents have been duly authorized by all necessary action on the part of the Borrower and its members, and each Loan Document constitutes the legal, valid, and binding obligation of the Borrower and each Guarantor, enforceable in accordance with its terms, subject to applicable bankruptcy, insolvency, and similar laws affecting creditors' rights generally and to general principles of equity. No consent of any member, creditor, or Governmental Authority is required that has not been obtained, except as disclosed in Schedule 5.2.

Section 5.3 — Ownership; Capitalization. The Membership Interests are held of record and beneficially as follows: Elena Vasquez-Torres, 62% (Managing Member); Brightleaf Investors Group LLC, 28% (N.C. Secretary of State File No. 2045612; Managing Member Thomas R. Chen); and Reginald K. Osei, 10%. There are no other membership interests, options, warrants, convertible instruments, or rights to acquire any interest in the Borrower. The Operating Agreement delivered to the Lender is a true and complete copy, has not been amended except as disclosed, and contains no provision that would render void or ineffective the Pledge Agreements or the Lender's exercise of remedies against the Membership Interests after giving effect to the amendments required by Section 3.10.

Section 5.4 — Title; Permitted Exceptions. The Borrower holds good and marketable fee simple title to the Property free and clear of all liens, encumbrances, and exceptions other than the Permitted Exceptions and the deed of trust in favor of Triangle Commercial Bank recorded in Book 6215, Page 892, Durham County Registry, which shall be released at the Closing in accordance with Section 3.12. The Title Policy, when issued, will insure the Deed of Trust as a valid first-priority lien on the Property subject only to the Permitted Exceptions.

Section 5.5 — Litigation. There is no litigation, arbitration, proceeding, investigation, or governmental inquiry pending or, to the knowledge of the Borrower or any Guarantor, threatened against the Borrower, any Guarantor, any member of the Borrower, or the Property that (a) could reasonably be expected to have a Material Adverse Effect, (b) questions the validity of any Loan Document, or (c) relates to any Environmental Law or Hazardous Materials, except as disclosed in Schedule 5.5. Neither the Borrower nor any Guarantor is in default under any material agreement to which it is a party.

Section 5.6 — Financial Statements; Provided Information. (a) The financial statements of the Borrower and each Guarantor delivered to the Lender are true, complete, and accurate in all material respects and fairly present the financial

condition of the applicable Person as of the dates and for the periods indicated. There has been no material adverse change in the financial condition of the Borrower or any Guarantor since the dates of such statements. (b) All reports, studies, budgets, schedules, draw schedules, sources and uses statements, rent assumptions, construction schedules, and other information (collectively, the "Provided Information") furnished to the Lender by or on behalf of the Borrower in connection with the Loan, including the construction budget and draw schedule dated January 8, 2025, were prepared in good faith and, to the best of the Borrower's knowledge, are accurate in all material respects. The Borrower acknowledges that the Lender is relying on the Provided Information and has not independently verified the Borrower's construction budget or draw schedule. (c) The Borrower acknowledges that the sources and uses of funds set forth in the construction budget and draw schedule dated January 8, 2025 present the land acquisition cost as funded by the Mezzanine Loan, whereas other materials furnished to the Lender describe the land as contributed in-kind equity; the Borrower shall, on or before the Closing Date, deliver a reconciled sources and uses statement and a funds tracing that resolves this inconsistency, and the reconciled statement shall control for all purposes of this Agreement.

Section 5.7 — No Default. No Default or Event of Default exists under any Loan Document, the Mezzanine Documents, the Intercreditor Agreement, or any other material agreement to which the Borrower or any Guarantor is a party.

Section 5.8 — Compliance with Laws; Zoning; Permits. The Property and the Project comply in all material respects with all applicable laws, ordinances, rules, regulations, and zoning requirements, including the MU-D zoning classification under the City of Durham Unified Development Ordinance and the Declaration recorded in Book 6984, Page 1155, Durham County Registry. The Project is permitted as of right, and no variance, special use permit, conditional zoning, or rezoning is required. All permits, licenses, and approvals necessary for the construction of the Project have been obtained or will be obtained prior to the commencement of the applicable phase of the Work.

Section 5.9 — Environmental Representations. (a) Except for the residual petroleum contamination described in the Phase I ESA and the Phase II ESA and addressed by the NFA Letter, there are no Hazardous Materials in, on, under, or migrating from the Property in quantities requiring investigation, remediation, or reporting under any Environmental Law, and the Property is not subject to any Environmental Claim or any outstanding order, directive, or notice of violation. (b) The Borrower has delivered to the Lender true and complete copies of all environmental reports, assessments, and correspondence in its possession or control relating to the Property, including the Phase I ESA, the Phase II ESA, the NFA Letter, the remediation completion report, and all correspondence with NCDEQ. (c) The NFA Letter is in full force and effect, has not been revoked, modified, or appealed, and the Borrower is in compliance with each of its conditions, except as disclosed in Schedule 5.9. (d) The Borrower has not received

any notice that the Land Use Restriction has not been recorded, or that the Soil Management Plan is required and has not been submitted. (e) Neither the Borrower nor any Guarantor has any knowledge of any condition at the Property that would reasonably be expected to give rise to liability under CERCLA or any other Environmental Law, including any liability as a result of the presence of the former underground storage tank described in the Phase I ESA. (f) No underground storage tanks are currently located on the Property, and no asbestos-containing materials or lead-based paint remain on the Property following the abatement described in the Phase I ESA.

Section 5.10 — Construction Contract; Plans. The Construction Contract is in full force and effect, has not been amended except as disclosed to the Lender, and constitutes the legal, valid, and binding obligation of the General Contractor. The Construction Contract is a GMP contract with a GMP of $34,750,000 and contains no cost-escalation, allowance, or savings-sharing provision that would permit the GMP to be exceeded without an approved Change Order, except as disclosed in Schedule 5.10. The Approved Plans and Specifications are complete and adequate for the construction of the Project, and no portion of the Work has been performed other than as disclosed in the draw schedule or as described in the Title Policy.

Section 5.11 — Insurance. The Borrower maintains, and will maintain, each insurance coverage required by Article VI and **Exhibit G**, and each policy is in full force and effect with premiums paid.

Section 5.12 — Solvency; No Bankruptcy. The Borrower and each Guarantor are solvent, are able to pay their debts as they become due, and have no intent to hinder, delay, or defraud any creditor. No Bankruptcy Event has occurred with respect to the Borrower, any Guarantor, or any member of the Borrower. The Borrower did not incur the Loan with the intent to incur debts beyond its ability to pay.

Section 5.13 — Affiliate Transactions; Mezzanine Loan. Except as disclosed in Schedule 5.13, the Borrower has no transactions with any Affiliate other than on arm’s-length terms. Brightleaf Investors Group LLC, a 28% member of the Borrower, and Brightleaf Mezzanine Capital LLC, the Mezzanine Lender, are under the common control of Thomas R. Chen. The Borrower has disclosed to the Lender all agreements between or among the Borrower, any member, the Mezzanine Lender, and any Affiliate of any of them, and no such agreement is inconsistent with the Loan Documents or the Intercreditor Agreement. The Mezzanine Documents delivered to the Lender are true, correct, and complete, and the Mezzanine Loan is not in default.

Section 5.14 — Single-Purpose Entity. The Borrower is, and since its formation has been, a single-purpose entity whose sole business is the acquisition, development, construction, ownership, leasing, and operation of the Property. The Borrower has no subsidiaries, has conducted no other business, and does not hold any asset other than the Property and the assets related to the Project.

Section 5.15 — Investment Company; ERISA; Margin Regulations. The Borrower is not an "investment company" within the meaning of the Investment Company Act of 1940. The Borrower does not maintain, and the Loan does not constitute, an employee benefit plan subject to Title I of ERISA or Section 4975 of the Code; the prohibited transaction and plan asset provisions of ERISA and the Code are inapplicable to this transaction. The Loan is a commercial loan, and no portion of the proceeds will be used to purchase or carry margin stock within the meaning of Regulations T, U, or X of the Board of Governors of the Federal Reserve System.

Section 5.16 — Anti-Corruption; Sanctions. Neither the Borrower, any Guarantor, nor any member of the Borrower is (a) a person named on the Specially Designated Nationals and Blocked Persons List maintained by the U.S. Department of the Treasury's Office of Foreign Assets Control or on any other similar list, or (b) organized, resident, or located in a comprehensively sanctioned jurisdiction. No portion of the Loan proceeds will be used, directly or indirectly, to fund any activity prohibited by applicable anti-money laundering, anti-corruption, or economic sanctions laws.

Section 5.17 — No Broker. No broker, finder, or placement agent is entitled to any commission or fee in connection with the Loan as a result of any arrangement made by the Borrower or any Guarantor.

Section 5.18 — Accuracy of the Record. The Borrower acknowledges that the Lender has relied on the Term Sheet dated January 10, 2025, the Credit Memorandum, the Appraisal, the Phase I ESA, the Title Commitment, and the Provided Information. The Borrower further acknowledges that (a) the Form of the Term Sheet characterizes the NFA Letter as authorizing commercial use of the Restricted Area conditioned on installation of a soil vapor mitigation system, and the Borrower has reviewed the NFA Letter and understands that the NFA Letter additionally restricts the Restricted Area to non-residential use and requires the recording of the Land Use Restriction and the preparation of a Soil Management Plan, and (b) the Project as designed includes residential units in the building above the Restricted Area, which the Lender has identified as requiring resolution under Section 6.5(d).

Section 5.19 — Survival. The representations and warranties in this Article V shall survive the Closing, the making of each Advance, and the repayment of the Loan.

ARTICLE VI — AFFIRMATIVE COVENANTS

Until the Loan is paid in full and all Loan Documents are terminated, the Borrower shall, and shall cause each Guarantor (as to Sections 6.6(c), 6.11, and 6.12) to:

Section 6.1 — Existence; Single-Purpose Status. Maintain its existence, good standing, and qualification to do business in North Carolina, and maintain its status as a single-purpose entity in accordance with Article XIV.

Section 6.2 — Compliance with Laws. Comply in all material respects with all applicable laws, ordinances, rules, regulations, and orders of any Governmental Authority, including building codes, the City of Durham Unified Development Ordinance, the Declaration recorded in Book 6984, Page 1155, and all Environmental Laws.

Section 6.3 — Completion of the Work. Complete the Work in accordance with the Approved Plans and Specifications, the Approved Budget, and the construction schedule, lien-free, on or before the Construction Maturity Date, and cause Substantial Completion to occur on or before August 31, 2027.

Section 6.4 — Condition and Repair; Operation. Maintain the Property in good condition and repair, operate the Property in a commercially reasonable manner consistent with Class A mixed-use properties in the Durham market, and maintain all utilities, access, and parking serving the Property.

Section 6.5 — Environmental Compliance; NFA Letter. (a) Comply with all Environmental Laws and with each condition of the NFA Letter throughout the term of the Loan and thereafter for so long as such conditions remain in effect. (b) Without limiting the foregoing: (i) record the Land Use Restriction in the Durham County Registry of Deeds in accordance with condition 4 of the NFA Letter, and deliver a certified copy to the Lender, together with a title endorsement confirming its recording; (ii) prepare, submit to NCDEQ, and comply with the Soil Management Plan in accordance with condition 3 of the NFA Letter, and incorporate the Soil Management Plan into the Construction Contract and all subcontracts; (iii) cause the soil vapor mitigation system required by condition 1 of the NFA Letter to be designed by a professional engineer licensed in North Carolina, installed in accordance with the Approved Plans and Specifications, and verified by a performance test, and deliver as-built drawings and the performance verification report to NCDEQ within ninety (90) days after completion of the building foundation in the Restricted Area, with a copy to the Lender; (iv) maintain the soil vapor mitigation system in good working order for so long as required by the NFA Letter and conduct the periodic monitoring recommended in the Phase I ESA or required by NCDEQ; and (v) deliver to the Lender, within thirty (30) days after the end of each calendar year, an officer’s certificate confirming continued compliance with each condition of the NFA Letter. (c) Promptly deliver to the Lender copies of all notices, orders, directives, and correspondence from or to NCDEQ or any other Governmental Authority relating to the Property or the Remediation Work. (d) **Resolution of the Residential Use Conflict.** On or before the Closing Date, or, at the Lender’s sole election, as a condition to any Advance for construction work within or above the Restricted Area, the Borrower shall deliver to the Lender evidence, satisfactory to the Lender, of one of the following:

(i) a written modification of the NFA Letter by NCDEQ expressly permitting residential use of the Restricted Area and of the enclosed spaces above it, subject to the installation and maintenance of the soil vapor mitigation system; (ii) written confirmation from NCDEQ that residential use of the floors above the grade-level Restricted Area is permitted provided that the required engineering controls are installed and maintained; or (iii) a redesign, approved by the Lender and reflected in the Approved Plans and Specifications and the Approved Budget, that eliminates residential use within and above the Restricted Area and, if required, an updated Appraisal and updated financial projections demonstrating continued compliance with Article VIII. Until such evidence is delivered, the Lender shall have no obligation to make any Advance for any Work within or above the Restricted Area, and the Borrower shall not permit any residential occupancy of any space within or above the Restricted Area. (e) Not install any underground storage tank on the Property, and not conduct any excavation, grading, or soil disturbance within the Restricted Area except in compliance with the Soil Management Plan.

Section 6.6 — Financial Reporting. Deliver to the Lender: (a) monthly construction progress reports, accompanied by the Construction Consultant's certification, within fifteen (15) days after the end of each calendar month during the Construction Period, including a schedule update, budget reconciliation, change order log, and the interest reserve reconciliation required by Section 4.8(e); (b) quarterly unaudited financial statements of the Borrower within forty-five (45) days after the end of each fiscal quarter; (c) annual audited financial statements of the Borrower, prepared by an independent certified public accounting firm reasonably acceptable to the Lender, within one hundred twenty (120) days after the end of each Fiscal Year, together with annual personal financial statements of each Guarantor; (d) quarterly Guarantor liquidity certifications and quarterly personal financial statements of each Guarantor within forty-five (45) days after the end of each fiscal quarter; (e) an annual net worth certificate of the Borrower within one hundred twenty (120) days after the end of each Fiscal Year; (f) a Compliance Certificate concurrently with each of the foregoing; (g) monthly rent rolls and operating statements following the commencement of leasing; and (h) such other information as the Lender may reasonably request.

Section 6.7 — Books and Records; Inspection. Maintain complete and accurate books and records in accordance with GAAP, and permit the Lender and its representatives (including the Construction Consultant and any appraiser) to examine and copy such records and to inspect the Property at reasonable times upon reasonable notice.

Section 6.8 — Taxes and Assessments. Pay and discharge all taxes, assessments, and governmental charges levied on the Property or the Borrower prior to delinquency, including all Association assessments under Article VII of the Declaration, and deliver evidence of payment upon request.

Section 6.9 — Further Assurances. Execute and deliver such further instruments, financing statements, control agreements, estoppels, consents, and certificates as the Lender may reasonably request to perfect, maintain, and confirm the Lender's security interests and rights, including any additional UCC-1 or UCC-3 filings and any control agreement required to perfect the Lender's security interest in the Membership Interests.

Section 6.10 — Leases; Rent Roll. Conduct all leasing of the Property on commercially reasonable terms, deliver to the Lender a certified rent roll at the beginning of the Mini-Perm Period and monthly thereafter, and (a) not enter into any Lease of retail space in excess of 5,000 square feet, (b) not enter into any Lease with a term (including options) exceeding fifteen (15) years, and (c) not enter into any Lease that includes a right of first refusal, purchase option, or exclusive use, in each case without the Lender's prior written consent.

Section 6.11 — Notices. Promptly (and in any event within five (5) Business Days after receipt) notify the Lender in writing of: (a) any Default or Event of Default; (b) any litigation, arbitration, or governmental proceeding against the Borrower, any Guarantor, or the Property; (c) any Environmental Claim or any notice from NCDEQ or any other Governmental Authority relating to the Property; (d) any casualty, condemnation, or material damage to the Property; (e) any default under the Construction Contract, the Mezzanine Documents, or the Intercreditor Agreement; (f) any change in the identity of the Independent Manager or in the ownership of any Membership Interest; and (g) any event that could reasonably be expected to have a Material Adverse Effect.

Section 6.12 — Guarantor Obligations. Cause each Guarantor to maintain its Guaranty in full force and effect, to deliver the financial statements and certifications required by Section 6.6, and to comply with the covenants applicable to such Guarantor under the Guaranties.

Section 6.13 — Mezzanine Compliance. Comply with the Mezzanine Documents and the Intercreditor Agreement, deliver to the Lender copies of all notices given or received under the Mezzanine Documents concurrently with delivery, and deliver to the Lender, within thirty (30) days after the end of each fiscal quarter, a certificate stating the outstanding principal balance of the Mezzanine Loan, all accrued and unpaid payment-in-kind interest, and the amount of any cash interest paid during the quarter.

Section 6.14 — Cash Management. Deposit all rents, revenues, and income from the Property into the cash management account maintained under the Cash Management Agreement, and comply with the Cash Management Agreement.

Section 6.15 — Association Compliance. Comply with the Declaration recorded in Book 6984, Page 1155, Durham County Registry (as amended), including all architectural review, assessment, and use restrictions, and deliver to the Lender

copies of all notices from the Association and evidence of payment of all assessments.

Section 6.16 — Interest Rate Protection. If the Lender so requires as a condition to any extension under Section 2.12, obtain and maintain an Interest Rate Cap Agreement satisfying Section 2.12(a)(vi) and assign the same to the Lender.

Section 6.17 — Appraisals. Cooperate with any appraisal or appraisal update required by the Lender, at the Borrower's expense, in accordance with applicable regulatory requirements and Section 8.2(c).

ARTICLE VII — NEGATIVE COVENANTS

Until the Loan is paid in full, the Borrower shall not, without the Lender's prior written consent (which the Lender may withhold in its sole and absolute discretion unless this Agreement expressly provides otherwise):

Section 7.1 — Indebtedness. Incur, assume, or permit to exist any Indebtedness other than (a) the Loan, (b) the Mezzanine Loan, and (c) trade payables incurred in the ordinary course of business and not more than ninety (90) days past due.

Section 7.2 — Liens. Create, incur, assume, or permit to exist any lien, encumbrance, or security interest on the Property, the Membership Interests, or any other Collateral, other than the Permitted Exceptions and the liens securing the Loan.

Section 7.3 — Transfers. Sell, transfer, convey, assign, or otherwise dispose of the Property, the Membership Interests, or any interest therein, whether directly or indirectly, including any Transfer resulting from a change in control of any member of the Borrower.

Section 7.4 — Change in Ownership or Organizational Documents. Change, modify, or alter the ownership structure or membership interests of the Borrower; admit any new member; or amend, modify, or restate the articles of organization or the Operating Agreement in any material respect, including Article III (Major Decisions), Article V (Capital Contributions), Article VI (Distributions), Article IX (Transfer Restrictions), or the provisions required by Article XIV.

Section 7.5 — Affiliate Transactions. Enter into, amend, or perform any transaction, contract, or arrangement with any Affiliate of the Borrower or any member thereof, including the Mezzanine Lender and Brightleaf Investors Group LLC, except on arm's-length terms and for fair and reasonable consideration, and except for the Mezzanine Loan and the Intercreditor Agreement as approved by the Lender.

Section 7.6 — Distributions. Declare or make any distribution, dividend, or other payment to any member during the Construction Period, except payment of

the developer fee in accordance with the Approved Budget and then only from funds available after payment of all Project costs and interest then due. Following the Construction Period, distributions may be made only if no Default or Event of Default exists or would result, the Borrower is in compliance with Article VIII on a pro forma basis, and the Loan-to-Value Ratio does not exceed sixty-five percent (65%). No distribution shall be made from Loan proceeds, from the Contingency Reserve, or as a reimbursement of any member's capital contribution.

Section 7.7 — Change Orders; Contracts. Amend, modify, or terminate the Construction Contract or the architect's agreement in any material respect, or approve any Change Order, except in accordance with Section 4.11.

Section 7.8 — Change in Use; Zoning. Change the use of the Property, seek any rezoning, variance, or special use permit, or permit any use that is inconsistent with the MU-D zoning classification or the Declaration.

Section 7.9 — Change in Business; Structure. Engage in any business other than the ownership, development, construction, leasing, management, and operation of the Project; merge or consolidate with any Person; or dissolve, liquidate, or wind up.

Section 7.10 — Environmental Actions. Conduct any excavation, grading, or soil disturbance within the Restricted Area other than in compliance with the Soil Management Plan; remove, disable, or modify the soil vapor mitigation system; record any instrument that would modify or release the Land Use Restriction; or take any action that would cause the NFA Letter to be modified, revoked, or reopened.

Section 7.11 — Mezzanine Amendments. Amend, modify, supplement, or waive any term of the Mezzanine Documents (including maturity, interest rate, amortization, payment-in-kind provisions, collateral, or guarantees) without the Lender's prior written consent, or permit any additional advance under the Mezzanine Loan.

Section 7.12 — Fiscal Year. Change its Fiscal Year.

Section 7.13 — Fraudulent Transfer. Take any action that would render the Borrower insolvent or unable to pay its debts as they become due.

ARTICLE VIII — FINANCIAL COVENANTS

Section 8.1 — Loan-to-Cost Ratio. The Loan-to-Cost Ratio shall not exceed eighty percent (80.0%) at any time during the term of the Loan, including on the Closing Date. As of the Closing Date, the Loan-to-Cost Ratio computed on the Commitment and on Total Project Costs of $56,700,000 is 83.77%. Compliance shall be achieved on or before the Closing Date solely by the means described in Section 3.9, and **Exhibit C** and **Exhibit D** shall be conformed accordingly. If the Commitment is reduced to the Reduced Commitment, the Loan-to-Cost Ratio shall

be 80.00% ($45,360,000 ÷ $56,700,000) and no increase in Total Project Costs shall be required; if Total Project Costs are increased instead, the Lender shall have approved the increased costs in writing and the Borrower shall have demonstrated that the increased costs are funded from sources other than the Loan and the Mezzanine Loan to the extent necessary to maintain compliance. If at any time the Loan-to-Cost Ratio exceeds 80.0%, the Borrower shall, at the Lender's election, either (a) prepay the Loan in the amount necessary to restore compliance, without prepayment premium, or (b) deposit cash collateral in an amount sufficient to restore compliance on a net-funded basis, in each case within ten (10) Business Days after written notice.

Section 8.2 — Loan-to-Value Ratios. (a) The Loan-to-Value Ratio on an as-completed basis shall not exceed sixty-five percent (65.0%). (b) The Loan-to-Value Ratio on an as-stabilized basis shall not exceed sixty-five percent (65.0%). (c) The Loan-to-Value Ratios shall be measured on the Closing Date using the Appraisal and thereafter at the Lender's discretion upon any reappraisal, appraisal update, or the annual appraisal required by applicable regulatory requirements, in each case at the Borrower's expense. The Borrower acknowledges that the as-completed Loan-to-Value Ratio computed on the Commitment and the Appraisal is 65.25%, which exceeds the sixty-five percent (65.0%) limitation in this Section 8.2 and in Sections 4 and 6.2 of the Term Sheet, and that the Lender's internal credit policy applies a seventy percent (70.0%) maximum. The Lender shall, on or before the Closing Date, determine whether this covenant is to be restated at seventy percent (70.0%) or whether the Commitment is to be reduced; no Advance shall be made while the covenant as stated in this Section 8.2 is breached. *See Cover Memorandum Item M-9.*

Section 8.3 — Debt Service Coverage Ratio. (a) The DSCR shall not be less than 1.25x. (b) The DSCR shall be tested (i) on the Closing Date on a projected basis using the Appraisal's stabilized NOI, (ii) at the commencement of the Mini-Perm Period on a projected basis (because no trailing twelve (12)-month operating history will exist at that date), and (iii) quarterly thereafter commencing with the first full fiscal quarter following achievement of Stabilized Occupancy (defined as ninety-five percent (95%) occupancy of the residential units for two consecutive months) on a trailing twelve (12)-month basis. (c) If the DSCR is less than 1.25x at any testing date, the Borrower shall, at the Lender's election, either (i) make a principal curtailment sufficient to restore the DSCR to 1.25x, or (ii) fund a debt service reserve in an amount determined by the Lender sufficient to restore the DSCR to 1.25x (a "Debt Service Reserve"), which reserve shall be maintained for so long as the DSCR remains below 1.25x.

Section 8.4 — Borrower Net Worth. The Borrower shall maintain a minimum net worth of not less than Twelve Million Dollars ($12,000,000), tested annually within one hundred twenty (120) days after the end of each Fiscal Year and upon the Lender's request. Net worth shall be determined in accordance with Section 1.3. If the Borrower's net worth falls below $12,000,000 solely as a result of the

payment of Project costs contemplated by the Approved Budget, the Borrower shall have thirty (30) days after written notice to restore compliance, which may be satisfied by an equity contribution from the members. *See Cover Memorandum Item M-17 regarding the interaction between this covenant and the payment of soft costs and the developer fee.*

Section 8.5 — Guarantor Liquidity. The Guarantors shall maintain combined liquidity of not less than Five Million Dollars ($5,000,000), tested quarterly, of which not less than One Million Five Hundred Thousand Dollars ($1,500,000) shall be attributable to each Guarantor individually. “Liquidity” means cash, cash equivalents, and marketable securities readily convertible to cash within thirty (30) days, determined on a basis consistent with the personal financial statements delivered to the Lender. If combined liquidity falls below $5,000,000, the Guarantors shall restore compliance within thirty (30) days after written notice.

Section 8.6 — Compliance Certificates; Testing Mechanics. The Borrower shall deliver a Compliance Certificate with each set of financial statements required by Section 6.6 and at each other time the Lender may reasonably request, setting forth in reasonable detail the computations necessary to demonstrate compliance with this Article VIII. The Lender’s determination of compliance shall control absent manifest error. Any failure to deliver a Compliance Certificate when due shall constitute an Event of Default under Section 11.3, subject to the cure period provided in that Section.

Section 8.7 — No Waiver by Advance. The making of any Advance shall not constitute a waiver of any breach of this Article VIII, and the Lender may condition any Advance on the Borrower’s prior compliance with this Article VIII on a pro forma basis.

ARTICLE IX — COLLATERAL, SECURITY AND PLEDGES

Section 9.1 — Collateral. The Loan shall be secured by (collectively, the “Collateral”): (a) a first-priority deed of trust on the Property; (b) a first-priority assignment of rents and leases covering all present and future rents, revenues, and income from the Property; (c) a first-priority security interest in all personal property, fixtures, equipment, furniture, permits, plans, specifications, contracts, licenses, approvals, accounts, deposit accounts, and general intangibles related to the Project, perfected by UCC-1 financing statements; (d) the Collateral Assignments described in Section 9.4; and (e) the Pledge Agreements described in Section 9.5.

Section 9.2 — Deed of Trust; Trustee. The Deed of Trust shall be recorded in the Durham County Registry of Deeds and shall contain a power of sale exercisable in accordance with Part 6 of Article 2A of Chapter 45 of the North Carolina General Statutes. The Borrower irrevocably appoints the Trustee named in the Deed of Trust and authorizes the Lender to appoint one or more substitute trustees in accordance with N.C.G.S. § 45-10.

Section 9.3 — Assignment of Rents and Cash Management. The Borrower collaterally assigns to the Lender all Leases and all rents, issues, and profits of the Property. The Borrower acknowledges that the assignment is absolute and, upon the occurrence and during the continuance of an Event of Default, the Lender may enforce the assignment directly, including by notifying tenants to pay rents directly to the Lender, without regard to the adequacy of the Collateral, and without the appointment of a receiver.

Section 9.4 — Collateral Assignments. The Borrower shall deliver to the Lender (a) a collateral assignment of the Construction Contract, together with the General Contractor's written consent; (b) a collateral assignment of the architect's agreement, together with the Architect's written consent; (c) a collateral assignment of all permits, licenses, and approvals relating to the Project to the extent assignable; (d) a collateral assignment of all insurance proceeds and condemnation awards relating to the Property; and (e) an assignment of all warranties, guaranties, and maintenance agreements relating to the Work.

Section 9.5 — Pledge of Membership Interests. (a) Each member of the Borrower shall pledge to the Lender, and grant the Lender a first-priority security interest in, its Membership Interests, together with all proceeds, distributions, and rights relating thereto, and shall deliver to the Lender (i) original certificates evidencing the Membership Interests, if certificated, duly endorsed in blank, or (ii) if uncertificated, a control agreement or other instrument sufficient to perfect the Lender's security interest by control under N.C.G.S. Chapter 25, Articles 8 and 9. (b) The Lender's security interest in the Membership Interests shall be prior to the security interest of the Mezzanine Lender, as provided in the Intercreditor Agreement. (c) The Borrower shall cause the Operating Agreement and all member consents to be amended and delivered so that (i) the pledges to the Lender are authorized and are not subject to any further member approval, (ii) the Lender's exercise of remedies with respect to the Membership Interests, including any foreclosure sale, transfer in lieu of foreclosure, or transfer to the Lender or its designee, is expressly permitted and is not void or voidable under Section 9.1 of the Operating Agreement or otherwise, and (iii) any purchaser at a foreclosure sale is admitted as a member without further consent. (d) The Borrower acknowledges that Section 9.1 of the Operating Agreement currently provides that any transfer of a membership interest without the prior written consent of the Managing Member and members holding at least seventy-five percent (75%) of the Membership Interests "shall be null and void," and that Section 3.2 of the Operating Agreement requires seventy-five percent (75%) member approval for any financing or refinancing in excess of $1,000,000: the amendments required by this Section 9.5(d) and Section 3.10 shall eliminate these impediments as they relate to the Loan Documents, the Lender's remedies, and any refinancing of the Loan. (e) The Borrower shall deliver all consents and waivers necessary to permit the Lender to vote the Membership Interests upon the occurrence and during the continuance of an Event of Default.

Section 9.6 — Priority; Intercreditor Agreement. The Lender's liens on the Property and the Membership Interests shall be first priority, subject only to the Permitted Exceptions and to the Mezzanine Lender's subordinated interest in the Membership Interests as set forth in the Intercreditor Agreement. No Loan Document shall be deemed to subordinate any lien of the Lender unless the Lender expressly so agrees in writing.

Section 9.7 — Release. Upon payment in full of the Loan and the satisfaction of all other Obligations, the Lender shall release the Collateral and execute such terminations and releases as are reasonably requested by the Borrower, at the Borrower's expense. The Lender shall not be required to release any portion of the Collateral while any Default or Event of Default exists.

Section 9.8 — No Impairment. The Borrower shall not do or permit anything to impair the value of the Collateral or the Lender's security interest therein, including any act or omission that would cause the Land Use Restriction to be violated or the NFA Letter to be reopened.

ARTICLE X — GUARANTIES AND RECOURSE

Section 10.1 — Completion Guaranty. Each Guarantor shall jointly and severally guarantee the lien-free completion of the Work in accordance with the Approved Plans and Specifications, the Approved Budget, and the construction schedule, on or before the Construction Maturity Date, and shall fund all costs of completion in excess of the available Loan proceeds, the Contingency Reserve, and any equity. The Completion Guaranty shall remain in effect until the Lender has received evidence satisfactory to it that the Work is complete in all material respects, a final certificate of occupancy has been issued, all liens have been released or bonded, and the soil vapor mitigation system has been installed and verified.

Section 10.2 — Carry Guaranty. Each Guarantor shall jointly and severally guarantee the payment of interest on the Loan and all other carrying costs (including real estate taxes, insurance premiums, and Association assessments) during the term of the Loan. The Carry Guaranty is in addition to, and not in lieu of, the Interest Reserve, and applies to interest and carrying costs accruing after the Interest Reserve is exhausted or to the extent the Interest Reserve is insufficient, including any deficiency required to be deposited under Section 4.8.

Section 10.3 — Partial Repayment Guaranty. Each Guarantor shall jointly and severally guarantee the repayment of Twenty-Five Percent (25%) of the Commitment, being Eleven Million Eight Hundred Seventy-Five Thousand and No/100 Dollars ($11,875,000) in the aggregate (and not $11,875,000 per Guarantor), upon the occurrence of an Event of Default, subject to the Recourse Triggers in Section 10.5. The Partial Repayment Guaranty is a guarantee of payment and not of collection. *See Cover Memorandum Item M-13 regarding the*

ambiguity between the Term Sheet and the Credit Memorandum as to the aggregate amount of this Guaranty.

Section 10.4 — Environmental Indemnity. The Borrower and each Guarantor shall execute the Environmental Indemnity, unlimited in amount, indemnifying the Lender against all Environmental Claims, losses, costs, damages, and expenses (including remediation costs, natural resource damages, fines, penalties, diminution in value, and attorneys' fees) arising out of or relating to the presence, release, or threatened release of Hazardous Materials on, under, at, or migrating from the Property, or any non-compliance with the NFA Letter or any Environmental Law. The Environmental Indemnity shall survive repayment of the Loan, the release or reconveyance of the Deed of Trust, and any foreclosure or deed in lieu of foreclosure.

Section 10.5 — Recourse Triggers. The obligations of the Borrower and the Guarantors shall be full recourse (and the Partial Repayment Guaranty shall be deemed to be a guaranty of one hundred percent (100%) of the Obligations) upon the occurrence of any of the following (each, a "Recourse Trigger"): (a) fraud, intentional misrepresentation, or material misstatement by the Borrower, any Guarantor, or any member, in any Loan Document or in any certificate delivered under any Loan Document; (b) a voluntary Bankruptcy Event with respect to the Borrower, any Guarantor, or any member of the Borrower, or the Borrower's or any member's collusion in an involuntary Bankruptcy Event; (c) any Transfer prohibited by Section 7.3 or any pledge or encumbrance of the Membership Interests other than in favor of the Lender or, as subordinated under the Intercreditor Agreement, the Mezzanine Lender; (d) any violation of Article XIV (Single-Purpose Entity Covenants); (e) the presence or release of Hazardous Materials at, on, under, or migrating from the Property that is caused or permitted by the Borrower, any Guarantor, or any member, or any material non-compliance with the NFA Letter; (f) waste, arson, or intentional destruction of any material portion of the Collateral; (g) failure to maintain insurance required by Article VI, to the extent of the resulting uninsured loss; (h) the Borrower's failure to fund any interest reserve deficiency required by Section 4.8 or any cost overrun required by Section 4.11, in each case after written notice; (i) any misapplication of Loan proceeds, rents, insurance proceeds, or condemnation awards; or (j) any material breach of Section 6.5 or Section 7.10. Each Recourse Trigger shall be subject to a materiality threshold of One Hundred Thousand Dollars ($100,000), except for clauses (a), (b), and (e), which shall not be subject to any threshold.

Section 10.6 — Guarantor Representations and Covenants. Each Guarantor represents and warrants that (a) it has received and reviewed the Loan Documents and the Credit Memorandum's conclusions as summarized to it; (b) its obligations under the Guaranties are not subject to any condition not set forth therein; (c) it has independent means to satisfy its obligations; and (d) it has no defense to enforcement of the Guaranties arising from any act or omission of the Borrower. Each Guarantor covenants to deliver the financial information required by Section

6.6, to maintain the liquidity required by Section 8.5, and to notify the Lender of any Bankruptcy Event, judgment, or material adverse change affecting it.

Section 10.7 — Guaranty Waivers. Each Guarantor waives, to the fullest extent permitted by North Carolina law: (a) notice of acceptance, presentment, demand, protest, and notice of dishonor; (b) notice of any default by the Borrower; (c) any right to require the Lender to proceed first against the Borrower or the Collateral; (d) any defense based on suretyship or impairment of collateral, except to the extent such waiver is prohibited by N.C.G.S. Chapter 26, Article 3; and (e) any right of subrogation, contribution, or reimbursement against the Borrower until the Loan is paid in full.

Section 10.8 — Reinstatement; No Release. The Guaranties shall continue to be effective or shall be reinstated, as the case may be, if at any time all or any part of any payment is rescinded, avoided, or must otherwise be returned by the Lender upon the insolvency, bankruptcy, or reorganization of the Borrower, any Guarantor, or any other Person, all as though such payment had not been made.

Section 10.9 — North Carolina Fair Value and Deficiency. The Lender and the Guarantors acknowledge that North Carolina is a judicial foreclosure state, that foreclosure under a power of sale is available under N.C.G.S. § 45-21.16 et seq., that the rights of a party seeking a deficiency judgment are subject to the fair value determination under N.C.G.S. § 45-21.36, and that the Guaranties are intended to be enforceable independently of the underlying indebtedness to the fullest extent permitted by applicable law. Nothing in any Loan Document shall be construed to waive any right that cannot be waived under North Carolina law.

ARTICLE XI — EVENTS OF DEFAULT

Each of the following shall constitute an Event of Default:

Section 11.1 — Payment. The Borrower fails to pay any principal, interest, fee, or other amount due under any Loan Document on the due date, and such failure continues for five (5) days; provided that no grace period shall apply to any payment due at the Maturity Date or after acceleration. Failure to fund a deposit required by Section 4.8 within the period specified shall be a payment default under this Section 11.1.

Section 11.2 — Representations. Any representation or warranty made by the Borrower, any Guarantor, or any member in any Loan Document or in any certificate, financial statement, or other document delivered under any Loan Document proves to have been untrue or misleading in any material respect when made, or any such Person omits to state a material fact necessary to make the statements made not misleading.

Section 11.3 — Covenants. The Borrower or any Guarantor fails to observe or perform any non-monetary covenant or obligation under the Loan Documents (other than an obligation described in Sections 11.1, 11.5, 11.7, 11.8, 11.9, 11.10,

11.11, or 11.12), and such failure continues for thirty (30) days after the earlier of (a) written notice from the Lender and (b) the date on which the Borrower obtains knowledge of such failure; provided that if the cure cannot reasonably be completed within thirty (30) days and the Borrower is diligently pursuing cure, the cure period shall be extended by an additional thirty (30) days, but in no event beyond the Construction Maturity Date for any failure relating to completion of the Work.

Section 11.4 — Cross-Default. (a) The Borrower or any Guarantor defaults under any other Indebtedness in an aggregate principal amount exceeding $500,000, and such default continues beyond any applicable cure period; (b) an event of default occurs under the Mezzanine Documents or the Intercreditor Agreement; or (c) an event of default occurs under any other material agreement to which the Borrower is a party, including the Construction Contract, and such default continues beyond any applicable cure period.

Section 11.5 — Bankruptcy; Insolvency. A Bankruptcy Event occurs with respect to the Borrower, any Guarantor, or any member of the Borrower, whether voluntary or involuntary.

Section 11.6 — Material Adverse Change. A material adverse change occurs in the financial condition of the Borrower or any Guarantor, or in the value, condition, or marketability of the Property or the Project, as determined by the Lender in its reasonable discretion.

Section 11.7 — Construction Delay. The Work is more than ninety (90) days behind the approved construction schedule at any time during the Construction Period, or Substantial Completion has not occurred on or before the Construction Maturity Date. A construction delay default under this Section 11.7 is not subject to any notice or cure period.

Section 11.8 — Abandonment; Suspension. The Borrower or the General Contractor abandons the Project, or the Work is suspended for a period of thirty (30) consecutive days for any reason other than a Lender-caused delay or a force majeure event approved in writing by the Lender.

Section 11.9 — Insurance. The Borrower fails to maintain any insurance required by Article VI, and such failure continues for ten (10) days after written notice.

Section 11.10 — Single-Purpose Entity. The Borrower breaches any covenant in Article XIV, or the Borrower’s organizational documents are amended in a manner inconsistent with Article XIV.

Section 11.11 — Environmental. (a) Any material violation of any Environmental Law occurs at or affecting the Property; (b) any environmental order, directive, notice of violation, or lien is issued or recorded against the Property; (c) the NFA Letter is revoked, modified, or reopened in a manner adverse to the Lender, or the

Borrower fails to comply with any condition of the NFA Letter, including the recording of the Land Use Restriction, the preparation and implementation of the Soil Management Plan, the installation, verification, or maintenance of the soil vapor mitigation system, or the non-residential use restriction; or (d) residential occupancy of any space within or above the Restricted Area occurs without the Lender's prior written consent and satisfaction of Section 6.5(d).

Section 11.12 — Judgments. One or more judgments, orders, or decrees for the payment of money in an aggregate amount exceeding $500,000 are entered against the Borrower or any Guarantor and remain unsatisfied, unbonded, or unstayed for a period of thirty (30) days, or any judgment results in the creation of a lien on the Property.

Section 11.13 — Guarantor Events. (a) Any Guarantor's net worth falls below the threshold set forth in Section 11.13(c); (b) any Guarantor revokes, terminates, disaffirms, or attempts to limit its obligations under any Guaranty; (c) any Guarantor's net worth, determined in accordance with Section 1.3, falls below Fifteen Million Dollars ($15,000,000); or (d) any Guarantor dies or becomes incapacitated. *See Cover Memorandum Item M-14 concerning the defective cross-reference in Section 15 of the Term Sheet, which refers to the Borrower's net worth covenant in Section 6.4 for a Guarantor threshold that does not exist.*

Section 11.14 — Loan Documents. Any Loan Document ceases to be in full force and effect, is declared void or unenforceable, or the validity, perfection, or first priority of any lien granted to the Lender is challenged or impaired, including by reason of any provision of the Operating Agreement or the Declaration.

Section 11.15 — Uninsured Casualty or Condemnation. Any casualty or condemnation affects a material portion of the Property and is not fully covered by insurance or condemnation award acceptable to the Lender, or the Borrower fails to restore the Property in accordance with the Loan Documents.

Section 11.16 — Loss of Environmental or Entitlement Approvals. The NFA Letter, the Land Use Restriction, any building permit, any certificate of occupancy, or any other governmental approval necessary for the construction or operation of the Project is revoked, suspended, or expires and is not renewed within thirty (30) days.

Section 11.17 — Interest Reserve Funding Source. The Borrower funds any deposit required by Section 4.8 or Section 4.11 from the proceeds of the Loan or the Mezzanine Loan, or from any Affiliate of the Mezzanine Lender, in violation of those Sections.

ARTICLE XII — REMEDIES

Section 12.1 — Acceleration. Upon the occurrence and during the continuance of an Event of Default, the Lender may, at its option and without further notice (except as required by applicable law), declare all outstanding principal, accrued

and unpaid interest, fees, costs, and other Obligations immediately due and payable, whereupon they shall become immediately due and payable.

Section 12.2 — Suspension and Termination of Advances. Upon the occurrence of any Default or Event of Default, the Lender may suspend or terminate its obligation to make any further Advance without notice.

Section 12.3 — Foreclosure. The Lender may foreclose the Deed of Trust by exercise of the power of sale in accordance with N.C.G.S. § 45-21.16 et seq., or may pursue judicial foreclosure, and may proceed against the Collateral in any order and by any method permitted by applicable law.

Section 12.4 — UCC Remedies; Membership Interests. The Lender may exercise all rights and remedies of a secured party under Article 9 of the UCC and, with respect to the Membership Interests, may (a) sell, assign, or transfer the Membership Interests at a public or private sale, (b) exercise all voting and consensual rights with respect to the Membership Interests, and (c) exercise all rights of the pledgor to receive distributions and proceeds. The Lender may be the purchaser at any such sale, and the Borrower and each member waive any right to require a sale of the Collateral in any particular order.

Section 12.5 — Receivership. The Lender may apply for the appointment of a receiver for the Property in accordance with applicable North Carolina law, including N.C.G.S. § 1-502, without the necessity of proving the inadequacy of the Collateral or the insolvency of the Borrower, and the Borrower consents to such appointment.

Section 12.6 — Default Rate. All outstanding amounts shall bear interest at the Default Rate in accordance with Section 2.7.

Section 12.7 — Setoff. The Lender may set off against the Obligations any and all balances, credits, deposits, and other property of the Borrower in the possession of the Lender.

Section 12.8 — Guaranties. The Lender may enforce any Guaranty in accordance with its terms, including the conversion of the Partial Repayment Guaranty to a full recourse obligation upon a Recourse Trigger.

Section 12.9 — Cumulative Remedies; No Waiver. All remedies are cumulative and not exclusive. No delay or failure by the Lender in exercising any right or remedy shall constitute a waiver, and no single or partial exercise shall preclude any other or further exercise. Any waiver by the Lender must be in writing and shall be effective only for the specific instance and purpose for which given.

Section 12.10 — Application of Payments; Proceeds. All payments received after an Event of Default and all proceeds of Collateral shall be applied in the following order: (a) to the Lender’s costs and expenses (including attorneys’ fees); (b) to fees and indemnified amounts; (c) to accrued interest at the Default Rate; (d)

to principal; and (e) to any remaining Obligations. Any surplus shall be paid to the Borrower or as otherwise required by applicable law.

Section 12.11 — Lender's Right to Cure. If the Borrower fails to perform any obligation under the Loan Documents, the Lender may (but shall not be obligated to) perform such obligation, and all amounts expended shall be an Obligation secured by the Loan Documents, payable on demand with interest at the Default Rate.

Section 12.12 — No Election of Remedies. The Lender's exercise of any one remedy shall not constitute an election of remedies or preclude the exercise of any other remedy, and the Lender may exercise remedies concurrently.

ARTICLE XIII — INDEMNIFICATION AND EXPENSES

Section 13.1 — General Indemnity. The Borrower and each Guarantor shall, jointly and severally, indemnify, defend (with counsel reasonably acceptable to the Lender), and hold harmless the Lender, its officers, directors, employees, agents, and counsel from and against any and all losses, claims, damages, liabilities, costs, and expenses (including reasonable attorneys' fees and costs of investigation and defense) arising out of or relating to (a) the Loan Documents or the transactions contemplated thereby, (b) the Property or the Project, including any claim arising from the Work, any mechanic's or materialmen's lien, any design or construction defect, or any claim by any contractor, subcontractor, tenant, or member, (c) any Environmental Claim (as to which the Environmental Indemnity shall additionally apply), or (d) any act or omission of the Borrower, any Guarantor, any member, the General Contractor, or any of their respective agents.

Section 13.2 — Exclusions. The indemnity in Section 13.1 shall not apply to the extent that any loss is finally determined by a court of competent jurisdiction to have resulted from the Lender's gross negligence or willful misconduct. The Lender shall not be liable for any loss arising from its own acts or omissions in administering the Loan except to the extent of its gross negligence or willful misconduct, and in no event shall the Lender be liable for consequential, special, punitive, or indirect damages. The Borrower's obligations to indemnify under Section 13.1 are not released, limited, or impaired by any of the circumstances described in this Section 13.2 except as expressly stated.

Section 13.3 — Lender's Expenses. The Borrower shall pay all costs and expenses incurred by the Lender in connection with the origination, documentation, closing, administration, and enforcement of the Loan, including the fees and disbursements of Ashford, Cromdale Consulting & Laine LLP, appraisal and appraisal review fees, environmental assessment and consultant fees (including any Phase I update), title insurance premiums, survey costs, recording taxes and fees, Construction Consultant fees, UCC and lien search fees, rating agency fees (if any), and all other out-of-pocket costs. The Borrower shall pay the Lender's legal fees and expenses regardless of whether the Loan closes. Amounts

not paid when due shall bear interest at the Default Rate and shall be secured by the Loan Documents. The obligations under this Section 13.3 shall survive termination of this Agreement.

Section 13.4 — Contest Rights. The Borrower may contest any tax, lien, or claim in good faith by appropriate proceedings, provided that (a) such contest does not subject the Lender to any risk of criminal liability or to any risk of forfeiture or loss of the Property or any material portion thereof, (b) the Borrower provides such reserves or bonds as the Lender may reasonably require, and (c) if the contest relates to a lien on the Property, the Borrower obtains and maintains a title endorsement or bond reasonably acceptable to the Lender.

Section 13.5 — Survival. The obligations of the Borrower and the Guarantors under this Article XIII shall survive repayment of the Loan, the release of the Collateral, and the termination of the other Loan Documents.

ARTICLE XIV — SINGLE-PURPOSE ENTITY COVENANTS

Section 14.1 — Separateness Covenants. The Borrower shall at all times: (a) hold no assets other than the Property and the assets related to the Project; (b) incur no liabilities other than the Loan, the Mezzanine Loan, and trade payables incurred in the ordinary course; (c) conduct no business other than the ownership, development, construction, leasing, management, and operation of the Project; (d) maintain its own books, records, financial statements, and bank accounts separate from those of any member, Affiliate, or other Person; (e) not commingle its funds or other assets with those of any member, Affiliate, or other Person; (f) hold itself out as, and conduct its affairs in, its own name as a separate and distinct entity; (g) observe all organizational formalities, including holding meetings, maintaining records, and making required filings with the North Carolina Secretary of State; (h) pay its own liabilities and expenses from its own funds; (i) maintain an arm’s-length relationship with its members and Affiliates and not guarantee or become obligated for the debts of any member or Affiliate; (j) not acquire obligations or securities of any member or Affiliate; (k) allocate fairly and reasonably any shared expenses, if any, with any Affiliate; (l) use separate stationery, invoices, and checks; and (m) correct any known misunderstanding regarding its separate identity.

Section 14.2 — Independent Manager. The Operating Agreement shall at all times require the Borrower to have at least one Independent Manager who (a) is not, and has not been within five (5) years prior to appointment, an officer, employee, director, manager, member, shareholder, creditor, or Affiliate of the Borrower, of any member of the Borrower, of the Mezzanine Lender, or of Thomas R. Chen; (b) is not a relative of any of the foregoing; and (c) is an individual with at least three (3) years of experience in commercial real estate or corporate governance. The affirmative vote of the Independent Manager shall be required for the Borrower to (i) file a voluntary petition under any Debtor Relief Law, (ii)

consent to the appointment of a receiver, or (iii) make an assignment for the benefit of creditors. The Operating Agreement shall further provide that the Independent Manager's vote is not subject to member direction or removal except for cause, and that the 75% member approval requirement in Section 3.2 of the Operating Agreement shall not apply to actions taken under the Loan Documents, including the granting of security, the exercise of the Lender's remedies, any extension under Section 2.12, and any refinancing of the Loan. *See Cover Memorandum Item M-2.*

Section 14.3 — Non-Consolidation Opinion. The Borrower shall deliver the Non-Consolidation Opinion at Closing and shall deliver an updated or bring-down opinion at any time the Lender reasonably requests, including as a condition to any extension or any assignment of the Loan to an Eligible Assignee.

Section 14.4 — Limitations on Permitted Activities. The Borrower shall not (a) form or acquire any subsidiary, (b) own any asset other than as permitted by Section 14.1(a), or (c) engage any employee, other than as necessary for the operation of the Property following Substantial Completion.

ARTICLE XV — MISCELLANEOUS

Section 15.1 — Notices. All notices, requests, demands, and other communications shall be in writing and shall be deemed given (a) when delivered personally, (b) one (1) Business Day after deposit with a nationally recognized overnight courier, (c) three (3) Business Days after deposit in the United States mail, certified and return receipt requested, postage prepaid, or (d) when sent by electronic mail, provided that the sender receives no automated rejection, in each case addressed as follows (or to such other address as a party may designate by notice):

Party	Address
Lender	Pinnacle Savings Bank, N.A., Commercial Real Estate Lending Division, 215 South Tryon Street, 18th Floor, Charlotte, NC 28202, Attn: David Forsythe, SVP; with a copy to Ashford, Cromdale Consulting & Laine LLP, 411 South Tryon Street, Suite 2800, Charlotte, NC 28202, Attn: Katharine Drummond
Borrower	Harborview Capital Partners LLC, 400 West Main Street, Suite 310, Durham, NC 27701, Attn: Elena Vasquez-Torres, Managing Member; with a copy to Calloway & Strauss PLLC, 324 Blackwell Street, Suite 200, Durham, NC 27701, Attn: Jonathan F. Ngo
Guarantors	Elena Vasquez-Torres, [address], Durham, NC; Reginald K. Osei, [address], Chapel Hill, NC

Section 15.2 — Governing Law. This Agreement and the other Loan Documents shall be governed by and construed in accordance with the laws of the State of North Carolina, without regard to its conflicts of law principles, except that the perfection and priority of security interests in personal property and the Membership Interests shall be governed by the UCC as in effect in the applicable jurisdiction.

Section 15.3 — Venue; Consent to Jurisdiction; Waiver of Jury Trial. The exclusive venue for any action or proceeding arising out of or relating to the Loan or any Loan Document shall be the General Court of Justice of North Carolina, Durham County, or the United States District Court for the Middle District of North Carolina, and each party irrevocably consents to the jurisdiction of such courts and waives any objection based on venue or forum non conveniens. **EACH PARTY KNOWINGLY, VOLUNTARILY, AND IRREVOCABLY WAIVES ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THE LOAN OR ANY LOAN DOCUMENT.**

Section 15.4 — Assignment; Participation. The Lender may assign, transfer, or sell participations in its interest in the Loan, in whole or in part, without the consent of the Borrower, to any Eligible Assignee, and may disclose all information relating to the Borrower, the Guarantors, and the Property to any actual or prospective assignee or participant that agrees to maintain confidentiality. The Borrower may not assign or delegate its obligations under the Loan Documents, in whole or in part, without the Lender's prior written consent, which may be withheld in the Lender's sole discretion; any purported assignment without consent shall be void.

Section 15.5 — Amendments; No Oral Modification. No amendment, modification, waiver, or supplement of any Loan Document shall be effective unless in writing and signed by the Lender and the party against whom enforcement is sought. No course of dealing, usage of trade, or failure to insist upon strict performance shall constitute a waiver or amendment.

Section 15.6 — Severability. If any provision of any Loan Document is held invalid, illegal, or unenforceable, the remaining provisions shall remain in full force and effect, and the invalid provision shall be reformed to the minimum extent necessary to make it enforceable.

Section 15.7 — Counterparts; Electronic Signatures. This Agreement may be executed in counterparts, each of which shall be an original and all of which together shall constitute one instrument. Signatures delivered by electronic means (including PDF and DocuSign) shall be deemed original signatures for all purposes.

Section 15.8 — Entire Agreement. This Agreement, together with the other Loan Documents, constitutes the entire agreement among the parties with respect to the subject matter hereof and supersedes all prior negotiations, term sheets, commitments, and understandings, including the Term Sheet dated January 10, 2025, **except that Sections 22 and 23 of the Term Sheet (Confidentiality, Exclusivity, Expense Deposit, and Acceptance) shall survive to the extent not inconsistent with this Agreement.**

Section 15.9 — Time of the Essence. Time is of the essence with respect to each obligation of the Borrower and each Guarantor under the Loan Documents.

Section 15.10 — No Partnership or Agency. Nothing in the Loan Documents creates a partnership, joint venture, or agency relationship between the Lender and the Borrower, and the Lender is not a partner, joint venturer, or agent of the Borrower.

Section 15.11 — Confidentiality. The Lender shall maintain the confidentiality of the Borrower's non-public financial information in accordance with its customary practices and applicable law, except that the Lender may disclose such information (a) to its Affiliates, officers, employees, agents, counsel, auditors, and regulators, (b) to any actual or prospective assignee or participant, (c) as required by law, regulation, subpoena, or court order, and (d) in connection with the enforcement of the Loan Documents.

Section 15.12 — USA PATRIOT Act; OFAC. The Lender hereby notifies the Borrower that, pursuant to the requirements of the USA PATRIOT Act (Title III of Pub. L. 107-56), the Lender is required to obtain, verify, and record information that identifies the Borrower and each Guarantor, and the Borrower and each Guarantor shall provide such information upon request. Each of the Borrower and the Guarantors represents and covenants that neither it nor any of its beneficial owners is a sanctioned person or is engaged in any activity prohibited by applicable economic sanctions laws.

Section 15.13 — Usury. The provisions of Section 2.8(b) are incorporated by reference and shall control over any conflicting provision of any Loan Document.

Section 15.14 — Joint and Several Liability. The obligations of the Borrower and the Guarantors under the Loan Documents are joint and several, and the Lender may proceed against any one or more of them in any order.

Section 15.15 — Waiver of Marshalling; No Notice of Disbursement. The Borrower waives any right to require the Lender to marshal assets or to proceed against any particular portion of the Collateral in any order, and waives notice of the making of any Advance.

Section 15.16 — Survival. All representations, warranties, covenants, indemnities, and obligations that by their nature are intended to survive, including those in Articles V, X, XIII, and XIV and Sections 2.8, 10.4, and 15.11, shall survive the Closing, the repayment of the Loan, the release of the Collateral, and the termination of the other Loan Documents.

Section 15.17 — Third-Party Beneficiaries. Except for the Lender's officers, directors, employees, agents, and counsel (as to Article XIII), no Person that is not a party to this Agreement shall have any rights as a third-party beneficiary.

Section 15.18 — Attorneys' Fees. In any action or proceeding to enforce or interpret any Loan Document, the prevailing party shall be entitled to recover its reasonable attorneys' fees and costs in addition to any other relief awarded.

Section 15.19 — Further Assurances. The Borrower and each Guarantor shall execute and deliver such further documents and take such further actions as the Lender may reasonably request to carry out the purposes of the Loan Documents.

Section 15.20 — Declarations of Intent. The Borrower acknowledges that (a) the Interest Reserve is not a debt service reserve and does not limit the Borrower's obligation to pay interest; (b) the Lender has made no commitment to provide permanent financing beyond the Facility Maturity Date; (c) the Lender has not made any representation as to the tax consequences of the Loan or the Project; and (d) the Borrower has not relied on any statement, projection, or analysis of the Lender in entering into the Loan Documents other than the express terms hereof.

Section 15.21 — Lender's Discretion. Except where this Agreement expressly provides that the Lender's discretion is absolute or is exercised in its reasonable judgment, whenever the Lender's consent, approval, or satisfaction is required, the Lender may grant or withhold the same in its reasonable discretion.

Section 15.22 — Anti-Terrorism and Anti-Money Laundering Compliance. The Borrower shall comply with all applicable anti-money laundering and economic sanctions laws and shall promptly notify the Lender of any change in its beneficial ownership.

Section 15.23 — Relationship to Credit Memorandum. The Borrower acknowledges that the Credit Memorandum is an internal document of the Lender, has not been delivered to the Borrower, and does not create any rights in favor of the Borrower. The conditions of approval described in the Credit Memorandum have been incorporated into this Agreement as conditions precedent and covenants, and the Lender's obligations are conditioned upon their satisfaction.

SIGNATURE PAGES

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

LENDER:

PINNACLE SAVINGS BANK, N.A.

By: _____
Name: David Forsythe
Title: Senior Vice President, Commercial Real Estate Lending
Date: _____

BORROWER:

HARBORVIEW CAPITAL PARTNERS LLC, a North Carolina limited liability company

By: _____
Name: Elena Vasquez-Torres
Title: Managing Member
Date: _____

GUARANTORS:

ELENA VASQUEZ-TORRES, individually
Date: _____

REGINALD K. OSEI, individually
Date: _____

ACKNOWLEDGED AND AGREED for purposes of Sections 9.5, 14.1, and 14.2 only:

BRIGHTLEAF INVESTORS GROUP LLC, a North Carolina limited liability company

By: _____
Name: Thomas R. Chen
Title: Managing Member
Date: _____

EXHIBIT A — LEGAL DESCRIPTION OF THE PROPERTY

Parcel 1 (PIN 0821-04-72-3341), 601 Foster Street, Durham, NC 27701 — approximately 2.09 acres

Being all of that certain lot, tract, or parcel of land situated in the City of Durham, Durham County, North Carolina, and being more particularly described as follows:

BEGINNING at an existing iron pipe located in the eastern right-of-way margin of Foster Street (60-foot public right-of-way), said iron pipe being located South 02°14′33″ West, 312.47 feet from the intersection of the eastern right-of-way margin of Foster Street with the southern right-of-way margin of West Corporation Street; running thence from said Beginning point along the eastern right-of-way margin of Foster Street, South 02°14′33″ West, 298.62 feet to an existing iron pipe; thence departing said right-of-way margin, South 87°45′27″ East, 305.41 feet to an existing iron pipe; thence North 02°14′33″ East, 298.62 feet to an existing iron pipe; thence North 87°45′27″ West, 305.41 feet to the point and place of BEGINNING, containing approximately 2.09 acres as shown on that survey plat recorded in Plat Book 218, Page 47, Durham County Registry.

Being the same property conveyed to Harborview Capital Partners LLC by Special Warranty Deed recorded in Book 7598, Page 443, Durham County Registry, dated June 12, 2023, from Foster Street Properties LLC.

Parcel 2 (PIN 0821-04-72-4102), 615 Foster Street, Durham, NC 27701 — approximately 1.38 acres

Being all of that certain lot, tract, or parcel of land situated in the City of Durham, Durham County, North Carolina, and being more particularly described as follows:

BEGINNING at an existing iron pipe located in the eastern right-of-way margin of Foster Street (60-foot public right-of-way), said iron pipe being the southwestern corner of Parcel 1 described above; running thence from said Beginning point along the eastern right-of-way margin of Foster Street, South 02°14′33″ West, 201.88 feet to a new iron pipe; thence departing said right-of-way margin, South 87°45′27″ East, 297.63 feet to a new iron pipe; thence North 02°14′33″ East, 201.88 feet to an existing iron pipe, being the southeastern corner of Parcel 1 described above; thence along the southern boundary of Parcel 1, North 87°45′27″ West, 297.63 feet to the point and place of BEGINNING, containing approximately 1.38 acres as shown on that survey plat recorded in Plat Book 218, Page 48, Durham County Registry.

Being the same property conveyed to Harborview Capital Partners LLC by Special Warranty Deed recorded in Book 7598, Page 445, Durham County Registry.

Total combined land area: approximately 3.47 acres (151,153 square feet).

Drafting Note — see Cover Memorandum Item M-7. This legal description is transcribed from Schedule A of the Title Commitment (NC-2024-88712). It must be conformed to the ALTA/NSPS Survey before the Deed of Trust is recorded. The Phase I ESA describes Parcel 0821-04-72-3341 as the "western parcel" of 1.89 acres and Parcel 0821-04-72-4102 as the "eastern parcel" of 1.58 acres, which is inconsistent with the metes and bounds above (which place Parcel 2 immediately south of Parcel 1 and produce a combined Foster Street frontage of approximately 500.5 feet, not the 420 feet stated in the Appraisal).

EXHIBIT B — PROJECT DESCRIPTION AND RESIDENTIAL UNIT MIX

Project: The Piedmont at Brightleaf — a six (6)-story, Class A mixed-use residential and retail development, comprising five residential stories over a podium containing ground-floor retail and structured parking, together with an associated parking garage.

Item	Description
Address	601 and 615 Foster Street, Durham, Durham County, NC 27701
Parcel IDs	0821-04-72-3341 and 0821-04-72-4102
Land area	Approximately 3.47 acres (subject to confirmation by survey)
Zoning	MU-D (Mixed Use — Downtown), City of Durham Unified Development Ordinance; permitted as of right; maximum height 120 feet
Building height	Six stories, approximately 78 feet
Residential units	212
Retail	Approximately 18,400 square feet in seven retail bays
Parking	Four-level structured garage, 276 spaces (approximately 1.30 spaces per unit)
Gross building area	Approximately 287,500 square feet
Amenities	Rooftop terrace, fitness center, co-working lounge, pool deck, dog park, bicycle storage, package room
Construction type	Type III-A; wood-frame superstructure over reinforced concrete podium; mat foundation on driven piles
General Contractor	Graystone Construction Group Inc. (NC GC License No. 78442); GMP $34,750,000
Architect	Meridian Design Collective PC
Projected Substantial Completion	August 31, 2027
Environmental	Conditional NFA Letter dated September 30, 2024 (Site ID IHSB-24-1203); Restricted Area approximately 0.38 acres in the northeast corner of Parcel 0821-04-72-4102; soil vapor mitigation system required

Residential Unit Mix

Unit Type	Units	Average Size (SF)	Total Residential SF
One-bedroom	142	725	102,950
Two-bedroom	56	1,050	58,800
Three-bedroom	14	1,350	18,900
Total	**212**	—	**180,650**

Property-tax parcels, easement areas, and the precise location of the Restricted Area relative to the building footprint shall be as confirmed by the ALTA/NSPS Survey and the environmental overlay required by Section 6.5(d).

EXHIBIT C — PROJECT BUDGET AND SOURCES AND USES OF FUNDS

Sources of Funds

Source	Amount	% of Total
Senior Loan (Pinnacle Savings Bank, N.A.)	$47,500,000	83.77%
Mezzanine Loan (Brightleaf Mezzanine Capital LLC)	$9,200,000	16.23%
Borrower cash equity	$0	0.00%
Total Sources	**$56,700,000**	**100.00%**

Uses of Funds

Use	Amount	% of Total
Land acquisition (previously closed)	$8,200,000	14.46%
Hard construction costs (GMP)	$34,750,000	61.29%
Soft costs	$4,150,000	7.32%
Interest Reserve	$4,850,000	8.55%
Loan origination fee (1.00%)	$475,000	0.84%
Developer fee (5.00%)	$2,835,000	5.00%
Contingency	$1,440,000	2.54%
Total Uses	**$56,700,000**	**100.00%**

Reconciliation. $8,200,000 + $34,750,000 + $4,150,000 + $4,850,000 + $475,000 + $2,835,000 + $1,440,000 = $56,700,000.

Notes to Exhibit C.

1. The Sources of Funds table above does not include the Property as a source of funds and does not include a line item for the payoff of the deed of trust in favor of Triangle Commercial Bank recorded in Book 6215, Page 892, Durham County Registry (original principal $3,400,000). The Borrower shall deliver a reconciled Sources and Uses of Funds on or before the Closing Date that (a) reflects the actual source of the $8,200,000 land acquisition cost, (b) includes the Triangle Commercial Bank payoff as a use funded from an identified source, and (c) is consistent with Section 3.9, Section 3.12, and Section 5.6(c).

2. The Mezzanine Loan is a payment-in-kind facility during the Construction Period at 12.50% per annum. Accrued and unpaid Mezzanine Loan interest is not reflected as a use in this Exhibit C. The Borrower shall deliver the Mezzanine Lender’s full amortization schedule at Closing under Section 3.11.

3. The Approved Budget excludes (a) the Association assessments payable under Article VII of the Declaration recorded in Book 6984, Page 1155 ($0.12 per square foot of gross building area per annum, currently approximately $34,500 per annum) from the cost side and from the

Appraisal’s operating expense projection, and (b) any cost of obtaining a modification of the NFA Letter, additional remediation, or redesign of the Restricted Area.

4. The contingency of $1,440,000 comprises $1,140,000 of hard cost contingency (approximately 3.28% of the GMP) and $300,000 of soft cost contingency (approximately 7.23% of soft costs).

5. If the Commitment is reduced to the Reduced Commitment under Section 3.9, this Exhibit C and **Exhibit D** shall be restated, and the reduction shall be allocated to the mezzanine-funded and senior-funded components as directed by the Lender.

EXHIBIT D — APPROVED DRAW SCHEDULE

Part 1 — Hard Cost Advances

Draw	Milestone	Cum. % Complete	Gross Hard Cost	Retainage (10%)	Net Hard Cost Advance	Cumulative Net Hard Cost
1	Closing (no hard costs)	0%	—	—	—	—
2	Foundation complete	15%	$5,212,500	($521,250)	$4,691,250	$4,691,250
3	Structural frame — Level 3	35%	$6,950,000	($695,000)	$6,255,000	$10,946,250
4	Structural frame — topped out	55%	$6,950,000	($695,000)	$6,255,000	$17,201,250
5	Building envelope complete	70%	$5,212,500	($521,250)	$4,691,250	$21,892,500
6	MEP rough-in complete	80%	$3,475,000	($347,500)	$3,127,500	$25,020,000
7	Interior finish — 50% of units	90%	$3,475,000	($347,500)	$3,127,500	$28,147,500
8	Substantial completion / TCO	100%	$3,475,000	($347,500)	$3,127,500	$31,275,000
9	Retainage release (post-CO)	Post-CO	—	$3,475,000	$3,475,000	$34,750,000
Total			**$34,750,000**	**$0**	**$34,750,000**	

Part 2 — Non-Hard-Cost and Other Advances

Draw	Component	Amount
1	Soft costs (per Exhibit C)	$4,150,000
1	Interest Reserve (Section 4.7)	$4,850,000
1	Origination fee (Section 2.10(a))	$475,000
7	Developer fee — senior-funded portion	$917,500
8	Developer fee — senior-funded portion	$917,500
8	Contingency funded to the Contingency Reserve (Section 4.10)	$1,440,000
Total		**$12,750,000**

Part 3 — Reconciliation

Test	Result
Part 1 net hard cost advances (Draws 2–8)	$31,275,000
Part 1 retainage released at Draw 9	$3,475,000
Part 1 total	$34,750,000 — equals the GMP

Test	Result
Part 2 total	$12,750,000
Part 1 plus Part 2	$47,500,000 — equals the Commitment
Retainage withheld (10% of GMP) versus retainage released	$3,475,000 withheld; $3,475,000 released — reconciles
Total developer fee (senior-funded $1,835,000 plus mezzanine-funded $1,000,000)	$2,835,000 — reconciles to Exhibit C
Interest Reserve funded	$4,850,000 — reconciles to Exhibit C
Contingency funded	$1,440,000 — reconciles to Exhibit C
Soft costs funded at Draw 1	$4,150,000 — reconciles to Exhibit C

Part 4 — Drafting Note

This Exhibit D supersedes the Borrower’s construction budget and draw schedule dated January 8, 2025 and has been conformed by Lender’s counsel to the Approved Budget in **Exhibit C**. The Borrower’s schedule did not reconcile: (a) its hard cost column totaled $38,225,000 against a GMP of $34,750,000, an excess of exactly $3,475,000 equal to the retainage that was counted twice; (b) its “Draw 9 — Retainage Release” was $3,275,000, which is $200,000 less than the 10% holdback of $3,475,000 and is numerically equal to the senior-funded developer fee plus contingency ($1,835,000 + $1,440,000 = $3,275,000), indicating that the final draw was intended to fund the developer fee and contingency rather than the retainage; (c) the developer fee and contingency columns allocated to Draws 6 through 9 totaled only $1,842,500 against the $3,275,000 required; and (d) each draw’s total equaled its gross hard cost amount, so no retainage was in fact withheld and the 10% holdback required by Section 9.1 of the Term Sheet was not implemented. See Cover Memorandum Item M-11. The milestone percentages, amounts, and timing in Part 1 remain subject to confirmation by the Construction Consultant and to adjustment for approved Change Orders.

EXHIBIT E — PERMITTED EXCEPTIONS

The Title Policy may contain exceptions only for the following matters:

1. Standard printed exceptions 1 through 6 of Schedule B — Part II, to the extent not deleted by the Title Insurer upon delivery of a current ALTA/NSPS Survey, an owner's affidavit of possession, and payment affidavits; standard exceptions shall be deleted to the fullest extent available.

2. Ad valorem real property taxes for the fiscal year 2025 and subsequent years, not yet due and payable.

3. Easement in favor of Duke Energy Carolinas, LLC, 20 feet in width along the western boundary of Parcel 0821-04-72-3341, recorded in Book 4387, Page 621, Durham County Registry.

4. Stormwater Management Easement in favor of the City of Durham affecting approximately 0.22 acres in the southern portion of Parcel 0821-04-72-3341, recorded in Book 7421, Page 212, Durham County Registry.

5. Declaration of Covenants, Conditions and Restrictions recorded by Brightleaf Historic District Association, Inc. in Book 6984, Page 1155, Durham County Registry, as amended in Book 7102, Page 388, together with the Association's assessment obligations and architectural review rights.

6. Terms, conditions, easements, and restrictions imposed by the City of Durham Unified Development Ordinance and the MU-D zoning district.

7. The Declaration of Land Use Restrictions (Land Use Restriction) to be recorded pursuant to condition 4 of the NFA Letter, **provided that** the Borrower has delivered a copy to the Lender and the Title Insurer has confirmed its recording and has insured over any right of reverter, re-entry, or enforcement right in a manner satisfactory to the Lender.

Expressly excluded from Permitted Exceptions. The Deed of Trust from Foster Street Properties LLC (as predecessor-in-title) to Triangle Commercial Bank recorded in Book 6215, Page 892, Durham County Registry, securing an original indebtedness of $3,400,000, must be released of record at or before the Closing under Section 3.12 and may not appear as an exception to the Title Policy. No exception may be taken for any mechanic's or materialmen's lien arising from demolition, site work, or environmental remediation performed prior to the Closing Date.

EXHIBIT F — FORM OF COMPLIANCE CERTIFICATE

To: Pinnacle Savings Bank, N.A., Commercial Real Estate Lending Division, 215 South Tryon Street, 18th Floor, Charlotte, NC 28202

The undersigned, a Responsible Officer of Harborview Capital Partners LLC (the "Borrower"), certifies, solely in such capacity and not individually, that as of the date of this Certificate:

1. Attached are the computations demonstrating compliance with Article VIII of the Construction Loan Agreement dated as of _____, 2025 (the "Loan Agreement"). Capitalized terms used but not defined in this Certificate have the meanings given in the Loan Agreement.

2. No Default or Event of Default exists, and no event has occurred that, with notice or lapse of time or both, would constitute an Event of Default.

3. All representations and warranties in Article V of the Loan Agreement are true and correct in all material respects.

4. The Borrower is in compliance with each condition of the NFA Letter, and the soil vapor mitigation system is installed and operating (if applicable).

5. The Loan-to-Cost Ratio, the Loan-to-Value Ratios, and the DSCR are as set forth below.

Covenant	Requirement	Actual	Compliance
Loan-to-Cost Ratio	≤ 80.0%	_____%	Yes / No
Loan-to-Value (as-completed)	≤ 65.0% [or 70.0%]	_____%	Yes / No
Loan-to-Value (as-stabilized)	≤ 65.0%	_____%	Yes / No
DSCR	≥ 1.25x	_____x	Yes / No
Borrower net worth	≥ $12,000,000	$_____	Yes / No
Combined Guarantor liquidity	≥ $5,000,000	$_____	Yes / No
Individual Guarantor liquidity	≥ $1,500,000 each	$_____ / $_____	Yes / No
Interest Reserve balance	per Section 4.8	$_____	Yes / No
Mezzanine Loan outstanding balance (including PIK)	inform	$_____	Inform

Executed this ____ day of _____, 20__.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____
Name: Elena Vasquez-Torres
Title: Managing Member

EXHIBIT G — SCHEDULE OF REQUIRED INSURANCE

Coverage	Minimum Limit / Requirement	Lender Status
Builder’s risk (all-risk, replacement cost, including materials in transit and stored off-site)	Not less than the total hard construction costs ($34,750,000), and not less than the insurable replacement value of the Work; endorsed to cover the interests of the Lender and the Borrower	Mortgagee and loss payee
Commercial general liability	$5,000,000 per occurrence; $10,000,000 aggregate; premises liability, products/completed operations, contractual liability, personal and advertising injury	Additional insured
Umbrella / excess liability	$10,000,000 per occurrence and in the aggregate, excess of the CGL and employer’s liability coverages	Additional insured
Workers’ compensation and employer’s liability	Statutory limits under N.C.G.S. Chapter 97; employer’s liability not less than $1,000,000	Lender’s interest acknowledged
Flood (if any portion of the Property is in a Special Flood Hazard Area)	As required by the National Flood Insurance Act and the Lender’s flood policy; to be confirmed by the flood determination obtained under Section 3.19	Mortgagee
Professional liability — Architect	$2,000,000 per claim, maintained for the statutory period of repose	Certificate delivered
Automobile liability (owned, hired, non-owned)	$1,000,000 combined single limit, if vehicles are used in connection with the Work	Additional insured (where available)
Developer’s risk / general liability for the Borrower	$1,000,000 per occurrence, in addition to the General Contractor’s coverage	Additional insured
Environmental — pollution legal liability (recommended, not required)	Per recommendation 6 of the Phase I ESA; amount to be agreed if obtained	Loss payee / named insured

All policies shall provide not less than thirty (30) days’ prior written notice of cancellation, non-renewal, or material change (ten (10) days for non-payment of premium), and shall be maintained in full force and effect throughout the term of the Loan, including any Extension Period. All policies shall be written by insurers rated A- or better by A.M. Best. Note: the Appraisal states that the Property is in Flood Zone X and that flood insurance is not required; the Phase I ESA states the same conclusion but cites a different FIRM panel and effective date. A current flood determination is required under Section 3.19.

EXHIBIT H — FORM OF DRAW REQUEST AND DISBURSEMENT CERTIFICATE

To: Pinnacle Savings Bank, N.A., Commercial Real Estate Lending Division

Draw No.: _____ Requested funding date: _____

Pursuant to Section 4.1 of the Loan Agreement, the Borrower requests an Advance in the amount of $_____, allocated as follows:

Budget line item	Approved budget	Previously drawn	This request	% complete

The Borrower certifies that: (a) the Work has been performed and materials supplied as represented in the accompanying AIA G702/G703 and the Construction Consultant’s report; (b) all representations and warranties in Article V of the Loan Agreement remain true and correct in all material respects; (c) no Default or Event of Default exists and no event has occurred that, with notice or lapse of time or both, would constitute an Event of Default; (d) the remaining Loan proceeds, together with the remaining equity, the Contingency Reserve, and other approved sources, are sufficient to complete the Work; (e) the Interest Reserve balance is sufficient to satisfy Section 4.8, or a deposit has been made in the amount of $_____; (f) partial lien waivers and the date-down title endorsement required by Section 4.2 are attached; (g) all insurance required by Article VI remains in full force and effect; (h) the Borrower is in compliance with each condition of the NFA Letter applicable as of the date of this request; and (i) the Borrower’s equity has been invested in accordance with Section 4.9.

Attached: AIA G702 and G703; Construction Consultant’s report; lien waivers (N.C.G.S. Chapter 44A); title date-down endorsement; insurance certificate; budget reconciliation; change order log; interest reserve reconciliation; environmental compliance statement.

HARBORVIEW CAPITAL PARTNERS LLC

By: _____
Name: Elena Vasquez-Torres
Title: Managing Member
Date: _____

END OF AGREEMENT